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S.E.C. Registration Number

P	H	I	L	I	P	P	I	N	E		R	A	C	I	N	G		C	L	U	B	,		I	N	C	.			
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(Company's Full Name)

S	A	D	D	L	E		&		C	L	U	B	S		L	E	I	S	U	R	E		P	A	R	K			
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(Business Address : No. Street City / Town / Province)

SHERYL LIZETTE C. YAP

Contact Person

(632) 8805-2091

Company Telephone Number

1	2	3	1
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Month Day
Fiscal Year

17 - Q

FORM TYPE

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Month Day
Annual Meeting

Secondary License Type, If Applicable

C	F	D
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Dept. Requiring this Doc.

Amended Articles Number/Section

8 2 4

Total No. of Stockholders

Total Amount of Borrowings

Domestic

nil

Foreign

To be accomplished by SEC Personnel concerned

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File Number

LCU

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Document I.D.

Cashier

STAMPS

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SEC Number: PW00000179
File Number: _____

PHILIPPINE RACING CLUB, INC.
& SUBSIDIARIES
(Company's Full Name)

Saddle & Clubs Leisure Park, Brgy. Sabang, Naic, Cavite
(Company's Address)

(632) 8805-2091
(Telephone Number)

September 30, 2025
(Quarter Ending)
(Month & Day)

Form 17-Q
Form Type

Amendment Designation (If Applicable)

Period Ended Date

(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

Quarterly Report Pursuant to Section 17 of the Securities Regulation Code and SRC Rule 17(2)(b) Thereunder, and Section 177 of The Revised Corporation Code of the Philippines [formerly Section 141 of the old Corporation Code]

1. For the quarterly period ended: **September 30, 2025**
2. SEC Identification Number: **179**
3. BIR Tax Identification Number: **000-488-051**
4. Exact name of registrant as specified in its charter: **PHILIPPINE RACING CLUB, INC.**
5. Country or other jurisdiction of incorporation or organization: **Philippines**
6. Industry Classification Code: _____ (SEC use only)
7. Address & Postal Code: **Saddle & Clubs Leisure Park, Sabang, Naic, Cavite 4110**
8. Registrant's telephone number, including area code **(632) 8805-2091**
9. Former name, former address, and former fiscal year, if changed since last report: **Santa Ana Park, A.P. Reyes Avenue, Carmona, Makati City 1207**
10. Securities registered pursuant to Sections 8 and 12 of the SRC

<i>Title of Each Class</i>	<i>Number of Shares Outstanding</i>
Common, P1 par value	546,706,156

11. Is this class of securities listed on the Philippine Stock Exchange?

Yes [X]

No []

12. Check whether the registrant:

- a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder, and Sections 25 and 177 of the Revised Corporation Code of the Philippines [formerly Sections 26 and 141 of the old Corporation Code] during the preceding 12 months (or for such shorter period that the registrant was required to file such reports):

Yes [X]

No []

- b) has been subject to such filing requirements for the past 90 days.

Yes [X]

No []

PHILIPPINE RACING CLUB, INC.
And SUBSIDIARIES
QUARTERLY REPORT
FOR THE THREE MONTHS AND QUARTER ENDED SEPTEMBER 30, 2025
*(with comparative consolidated financial statements as of December 31, 2025 and for
the nine months and quarter ended September 30, 2025)*

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PHILIPPINE RACING CLUB, INC. and SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 and DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	Notes	[UNAUDITED] September 30, 2025	[AUDITED] December 31, 2024
<u>ASSETS</u>			
CURRENT ASSETS			
Cash and cash equivalents	7	P 221,469,656	P 177,185,396
Receivables - net	8	230,473,196	348,727,810
Financial assets at fair value through profit or loss	9	264,410,473	304,416,227
Contract Asset	19	25,037,630	785,128
Property held for sale or development	13	2,415,375,108	2,441,156,112
Prepayments and other current assets	9	97,816,513	102,939,442
Total Current Assets		<u>3,254,582,576</u>	<u>3,375,210,115</u>
NON-CURRENT ASSETS			
Real estate receivables	8	-	-
Contract Asset	19	929,017	929,017
Financial assets at fair value through other comprehensive income	14	1,136,583,442	1,305,343,378
Property and equipment - net	10	42,600,407	54,396,464
Advances to an Associate		12,500,000	12,500,000
Investment property	12	3,327,925,011	2,839,225,011
Post-employment defined benefit asset	22	7,262,085	9,062,085
Other non-current assets	14	17,559,228	17,705,724
Total Non-current Assets		<u>4,545,359,190</u>	<u>4,239,161,679</u>
TOTAL ASSETS		<u>P 7,799,941,766</u>	<u>P 7,614,371,794</u>
<u>LIABILITIES AND EQUITY</u>			
CURRENT LIABILITIES			
Loans and borrowings	15	P 299,647,877	P 330,786,104
Trade and other payables	16	585,912,960	645,181,673
Advances from stockholders	23	5,614,200	5,614,200
Contract liabilities	19	2,297,644	2,428,657
Income tax payable	24	16,729,904	-
Other current liabilities	17	252,486,788	244,103,653
Total Current Liabilities		<u>1,162,689,373</u>	<u>1,228,114,287</u>
NON-CURRENT LIABILITIES			
Loans and borrowings	15	431,816,965	P 405,845,477
Contract liabilities	19	2,936,170	2,936,170
Deferred tax liabilities-net	24	531,307,581	437,611,785
Other non-current liabilities	17	30,680,188	30,678,792
Total Non-current Liabilities		<u>996,740,904</u>	<u>877,072,224</u>
Total Liabilities		<u>2,159,430,277</u>	<u>2,105,186,511</u>
EQUITY			
Equity attributable to stockholders of parent company			
Capital stock	18	585,687,130	585,687,130
Additional paid-in capital		39,947,626	39,947,626
Revaluation reserves		700,301,572	867,569,293
Treasury shares		(678,196,186)	(678,196,186)
Retained earnings		5,004,392,903	4,705,798,976
Total equity attributable to stockholders of parent company		<u>5,652,133,045</u>	<u>5,520,806,839</u>
Non-controlling interest		(11,621,556)	(11,621,556)
Total Equity		<u>5,640,511,489</u>	<u>5,509,185,283</u>
TOTAL LIABILITIES AND EQUITY		<u>P 7,799,941,766</u>	<u>P 7,614,371,794</u>

ANNEX A

PHILIPPINE RACING CLUB, INC. and SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
 FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>2025</u>	<u>2024</u>
REVENUES	19		
Real estate sales	P	44,504,408	P 8,355,688
Rental		61,220,889	47,269,617
		<u>105,725,297</u>	<u>55,625,305</u>
COST OF SALES AND SERVICES	20		
Real estate sales		21,078,123	10,251,528
Rental		1,360,369	804,159
		<u>22,438,492</u>	<u>11,055,687</u>
GROSS PROFIT		<u>83,286,805</u>	<u>44,569,618</u>
OTHER OPERATING EXPENSES	20	<u>103,064,229</u>	<u>127,953,152</u>
OTHER INCOME (CHARGES)	21		
Interest income		1,700,195	1,269,901
Interest expense / finance cost	(	20,002,706)	(19,003,342)
Others - net		461,172,293	76,748,066
		<u>442,869,782</u>	<u>59,014,625</u>
INCOME (LOSS) BEFORE TAX		423,092,358	(24,368,909)
NET TAX EXPENSE	24	<u>124,498,433</u>	<u>10,494,641</u>
NET INCOME (LOSS)		298,593,925	(34,863,550)
OTHER COMPREHENSIVE LOSS		(<u>163,872,936</u>)	(<u>170,532,160</u>)
TOTAL COMPREHENSIVE INCOME (LOSS)		<u>P 134,720,989</u>	(<u>P 205,395,710</u>)
Attributable to:			
Parent Company's Stockholders		<u>P 134,720,989</u>	(<u>P 205,395,710</u>)
Income (Loss) per Share	25	<u>P 0.588</u>	(<u>P 0.069</u>)

See Notes to Consolidated Financial Statements.

ANNEX A

PHILIPPINE RACING CLUB, INC. and SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
 FOR THE QUARTERS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>2025</u>	<u>2024</u>
REVENUES	19		
Club races			
Real estate sales	P	11,895,000	P 1,662,939
Rental		24,661,772	15,798,011
		<u>36,556,772</u>	<u>17,460,950</u>
COST OF SALES AND SERVICES	20		
Club races			
Real estate sales		5,444,060	2,939,025
Rental		534,147	265,409
		<u>5,978,207</u>	<u>3,204,434</u>
GROSS PROFIT		<u>30,578,565</u>	<u>14,256,516</u>
OTHER OPERATING EXPENSES	20	<u>33,573,064</u>	<u>64,939,138</u>
OTHER INCOME (CHARGES)	21		
Interest income		888,261	448,541
Interest expense / finance cost	(	6,646,814)	(11,797,826)
Others - net		386,411,579	15,511,970
		<u>380,653,026</u>	<u>4,162,685</u>
INCOME (LOSS) BEFORE TAX		377,658,527	(46,519,937)
NET TAX EXPENSE (BENEFIT)	24	<u>99,881,100</u>	(<u>11,339,387</u>)
NET INCOME (LOSS)		277,777,427	(35,180,550)
OTHER COMPREHENSIVE INCOME (LOSS)		(<u>68,609,826</u>)	<u>52,451,660</u>
TOTAL COMPREHENSIVE INCOME		<u>P 209,167,601</u>	<u>P 17,271,110</u>
Attributable to:			
Parent Company's Stockholders		<u>P 209,167,601</u>	<u>P 17,271,110</u>
Income (Loss) per Share	25	<u>P 0.5472</u>	(<u>P 0.0693</u>)

See Notes to Consolidated Financial Statements.

PHILIPPINE RACING CLUB, INC. and SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
 FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Note</u>	<u>2025</u>	<u>2024</u>
EQUITY ATTRIBUTABLE TO SHAREHOLDERS OF PARENT COMPANY			
Capital Stock	18		
Issued and outstanding		P 585,687,130	P 585,687,130
Additional Paid-in Capital	18	39,947,626	39,947,626
Treasury Shares	18	(678,196,186)	(678,196,186)
Revaluation Reserves	18	700,301,572	867,357,224
Retained Earnings	18		
Appropriated		2,478,196,186	2,478,196,186
Unappropriated			
Balance at beginning of period		2,227,602,792	2,230,154,449
Cash dividends		-	-
Net income (loss) for the period		298,593,925	(34,863,550)
Balance at end of period		2,526,196,717	2,195,290,899
		5,004,392,903	4,673,487,085
Total Equity Attributable to Parent Company		5,652,133,045	5,488,282,879
NON-CONTROLLING INTEREST			
Balance at beginning of period		(11,621,556)	(11,129,915)
Share in comprehensive income (loss) for the period		-	-
Total non-controlling interest		(11,621,556)	(11,129,915)
TOTAL EQUITY		P 5,640,511,489	P 5,477,152,964

See Notes to Consolidated Financial Statements.

PHILIPPINE RACING CLUB, INC. and SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
 FOR THE QUARTERS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Note</u>	<u>2025</u>	<u>2024</u>
EQUITY ATTRIBUTABLE TO SHAREHOLDERS OF PARENT COMPANY			
Capital Stock	18		
Issued and outstanding		P 585,687,130	P 585,687,130
Additional Paid-in Capital	18	39,947,626	39,947,626
Treasury Shares	18	(678,196,186)	(678,196,186)
Revaluation Reserves	18	700,301,572	867,357,224
Retained Earnings	18		
Appropriated		2,478,196,186	2,478,196,186
Unappropriated			
Balance at beginning of period		2,248,419,290	2,230,471,449
Cash dividends		-	-
Net income (loss) for the period		277,777,427	(35,180,550)
Balance at end of period		2,526,196,717	2,195,290,899
		5,004,392,903	4,673,487,085
Total Equity Attributable to Parent Company		5,652,133,045	5,488,282,879
NON-CONTROLLING INTEREST			
Balance at beginning of period		(11,621,556)	(11,129,915)
Share in comprehensive income (loss) for the period		-	-
Total non-controlling interest		(11,621,556)	(11,129,915)
TOTAL EQUITY		P 5,640,511,489	P 5,477,152,964

See Notes to Consolidated Financial Statements.

PHILIPPINE RACING CLUB, INC. AND SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOW
 FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>2025</u>	<u>2024</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Net income (loss)	P	298,593,925	(P 34,863,550)
Adjustments for:			
Depreciation and amortization		4,250,109	3,867,424
FV gains on reclassification of assets to investment property	(	483,123,390)	(109,221,979)
Interest income	(	1,700,195)	(1,269,901)
Operating loss before working capital changes	(	181,979,551)	(141,488,006)
Decrease in receivables		118,254,614	23,726,737
Decrease in financial assets at FVTPL		40,005,754	46,740,977
Increase in contract asset	(	24,252,502)	(821,277)
Decrease (increase) in prepayments and other current assets		5,122,929	(19,202,731)
Decrease in FA at FVTOCI		1,492,217	-
Decrease (increase) in other non-current assets		146,496	(19,225,865)
Increase (decrease) in trade and other payables	(	59,268,713)	9,162,595
Decrease in contract liabilities	(	131,013)	(2,239,233)
Increase (decrease) in income tax payable		16,729,904	(84,706)
Increase in other current liabilities		8,383,135	25,801,227
Increase in deferred tax liability		93,695,796	10,153,720
Increase in post employment defined benefit asset		1,800,000	1,800,000
Increase in other non-current liabilities		1,396	328,245
Net Cash Provided by (Used in) by Operating Activities		20,000,462	(65,348,317)
CASH FLOWS FROM INVESTING ACTIVITIES			
Decrease in property held for sale or development		25,781,004	42,180,645
Disposal (acquisitions) of property and equipment		7,545,948	(2,474,164)
Decrease in investment property	(	5,576,610)	(68,676,274)
Interest received		1,700,195	1,269,901
Net Cash Provided by (Used in) Investing Activities		29,450,537	(27,699,892)
CASH FLOWS FROM FINANCING ACTIVITY			
Acquisitions (payments) of loans and borrowings	(	5,166,739)	39,273,431
Payment of cash dividends		-	-
Net Cash Provided by (Used in) Financing Activities	(	5,166,739)	39,273,431
NET INCREASE (DECREASE) IN CASH & CASH EQUIVALENTS		44,284,260	(53,774,778)
CASH AND CASH EQUIVALENTS AT START OF PERIOD		177,185,396	150,479,923
CASH AND CASH EQUIVALENTS AT END OF PERIOD	P	221,469,656	P 96,705,145

See Notes to Consolidated Financial Statements.

PHILIPPINE RACING CLUB, INC. AND SUBSIDIARIES
 UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOW
 FOR THE QUARTERS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>2024</u>	<u>2023</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Net income (loss)	P	277,777,427	(P 35,180,550)
Adjustments for:			
Depreciation and amortization		1,293,834	899,102
FV gains on reclassification of assets to investment property	(	393,970,440)	-
Interest income	(	888,261)	(448,541)
Operating loss before working capital changes	(	115,787,440)	(34,729,989)
Decrease in receivables		104,345,243	31,643,949
Decrease (increase) in financial assets at FVTPL		14,179,052	(11,921,506)
Increase in contract asset	(	7,508,556)	(117,648)
Decrease (increase) in prepayments and other current assets		6,668,913	(19,000,668)
Decrease in FA at FVTOCI		1,492,217	-
Decrease (increase) in other non-current assets		28,733	(6,493,713)
Increase (decrease) in trade and other payables	(	7,225,758)	8,385,024
Decrease in contract liabilities	(	1,063,498)	(177,525)
Increase (decrease) in income tax payable		2,657,172	(9,288,482)
Increase (decrease) in other current liabilities	(	422,974)	16,164,854
Increase (decrease) in deferred tax liability		83,151,195	(655,731)
Increase in post employment defined benefit obligation		600,000	600,000
Decrease in other non-current liabilities	(	3,517,607)	-
Net Cash Provided by (Used in) Operating Activities		77,596,692	(25,591,435)
CASH FLOWS FROM INVESTING ACTIVITIES			
Disposal of property and equipment		9,004,338	1,002,105
Decrease in investment property	(	4,549,560)	(110,892)
Increase (decrease) in property held for sale or development		9,117,887	(29,021,775)
Interest received		888,261	448,541
Net Cash Provided by (Used In) Investing Activities		14,460,926	(27,682,021)
CASH FLOWS FROM FINANCING ACTIVITY			
Acquisitions (payments) of loans and borrowings	(	228,431)	32,073,431
Payment of cash dividends		-	-
Net Cash Provided by (Used in) Financing Activities	(	228,431)	32,073,431
NET INCREASE (DECREASE) IN CASH & CASH EQUIVALENTS		91,829,187	(21,200,025)
CASH AND CASH EQUIVALENTS AT START OF QUARTER		129,640,469	117,905,170
CASH AND CASH EQUIVALENTS AT END OF QUARTER	P	221,469,656	P 96,705,145

See Notes to Consolidated Financial Statements.

PHILIPPINE RACING CLUB, INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

1. GENERAL INFORMATION

1.1 Incorporation and Operations

Philippine Racing Club, Inc. (PRCI or the Parent Company) was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on May 2, 1937.

The Parent Company is primarily engaged in the business of operating and maintaining a racetrack covered by its franchise, and managing betting stations located within Metro Manila and other parts of the country. However, on October 23, 2022, the Parent Company's franchise to operate and maintain a racetrack and conduct horse races expired and effectively, the Parent Company's horse racing operations were discontinued (see Note 22). The Parent Company is also engaged in acquiring and developing real properties including but not limited to leisure, recreational and memorial parks and owning, operating, managing and/or selling real estate.

The Parent Company's shares of stock are listed for trading at the Philippine Stock Exchange (PSE).

The Parent Company's registered office address, which is also its principal place of business, is located at Saddle and Clubs Leisure Park, Brgy. Sabang, Naic, Cavite.

1.2 Subsidiaries and Associates

The Parent Company has ownership interests in the following entities:

Name of Subsidiaries	Notes	Effective % of Ownership	
		Sep 30, 2025	Dec 31, 2024
Philippine Newtown Ventures Corporation (PNVC)	(a)	100%	100%
Philippine Newtown Global Solutions, Inc. (PNGSI)*	(b)	70%	70%
PRCI Circuit Makati, Inc. (Circuit Makati)	(c)	100%	100%
PRCI Circuit Makati F&B, Inc. (PCM F&B)*	(d)	70%	70%
Fulcrum Computer Services, Inc. (Fulcrum)	(e)	75%	75%
Sta. Ana Park Racing Club, Inc. (Sta. Ana)	(f)	100%	100%
Name of Associate			
One Renewable Energy Enterprise, Inc. (OREE)*	(c)	50%	50%

* Indirect ownership interest

Explanatory notes:

- (a) In 2012, the Parent Company subscribed to 99.9% ownership interests in PNVC. The purchase by the Parent Company of PNVC shares was accounted for using the acquisition method, which resulted in the recognition of goodwill amounting to P0.1 million (see Note 14.2).

PNVC is a real estate company organized on October 28, 2010 and started commercial operations in 2014 with registered office address, which is also its principal place of business, located at Km. 5 Bugac Ma-a, Davao City. In 2012, PNVC acquired 70% ownership interest in PNGSI.

- (b) PNGSI was incorporated on November 14, 2012 as a business process outsourcing entity to cater the needs of various industries worldwide. PNGSI's registered office address, which is also its principal place of business, is located at Building A, 1765 P.M. Guazon St., Paco, Manila City. On February 15, 2014, PNGSI discontinued its outsourcing operations and has not yet resumed its operations as of September 30, 2025.

- (c) In 2018, the Parent Company subscribed for the 100% ownership interest in Circuit Makati. Circuit Makati is a real estate company organized on July 7, 2014 with registered office address and principal place of business similar with PNGSI. Circuit Makati has 70% ownership interest in PCM F&B.

Circuit Makati's principal place of business is located at L3-059 Ayala Malls Circuit Makati, Hippodromo St., Carmona, Makati City. Circuit Makati has started its commercial operations in 2024.

In 2023, Circuit Makati acquired shares of OREE amounting to P25.0 million which represents 49.99% of the outstanding shares of stock of OREE. The ownership represents significant influence and hence is accounted for as an investment in associate. OREE, organized on January 3, 2011 with registered principal place of business located at 2311 One Corporate Center, J. Vargas St Cor. Meralco Ave., Ortigas Center, Pasig City, engages in conduct, manage and carry on the business involving or allied to solar energy and other renewable energy projects, products, services, and activities. During 2023, Circuit Makati recognized allowance for impairment loss amounting to P25.0 million (see Note 21). There was no similar transaction in 2025 and 2024.

- (d) PCM F&B, with a registered office address and principal place of business located at LC-151 G/F Circuit Lane 80 A.P. Reyes Avenue, Carmona, Makati City 1207 Philippines, was incorporated on July 2, 2015 and presently engaged in the establishment and maintenance of quick service restaurants, coffee shops, and refreshment parlors.
- (e) Fulcrum, with a registered office address located at 3rd Floor, Rublou Market Place Sunset Drive, Brookside Hills Subd., Cainta, Rizal, was approved for incorporation by the Parent Company's Board of Directors (BOD) on November 7, 2019, and is 75% owned by the Parent Company. It was formed to engage in computer rental business and for organizing events for computer and video games. In 2020, Fulcrum started its commercial operations.

- (f) On November 7, 2019, the Parent Company's Board of Directors (BOD) approved the incorporation of Sta. Ana to engage in various gaming businesses with registered office address and principal place of business similar with the Parent Company. Sta. Ana is wholly owned by the Parent Company and the entity to be used for the application of the renewal of the horseracing franchise. Sta. Ana was incorporated on February 9, 2020 but it has not yet started commercial operations as of September 30, 2025.

The Parent Company, PNVC, PNGSI, Circuit Makati, PCM F&B, Fulcrum, Sta. Ana and OREE are hereinafter collectively referred to as the Group.

1.3 Approval of Consolidated Financial Statements

The consolidated financial statements of the Group as of and for the quarter and nine-month period ended September 30, 2025 (including the comparative consolidated financial statements as of December 31, 2024 and for the quarter and nine-month period ended September 30, 2024) were authorized for issue by the Parent Company's BOD through the Audit and Related Party Transactions Committee on November 12, 2025.

The consolidated financial statements of the Group as of and for the year ended December 31, 2024 (including the comparative consolidated financial statements as of December 31, 2023 and for the years ended December 31, 2024 and 2023) were authorized for issue by the Parent Company's BOD through the Audit and Related Party Transactions Committee on April 21, 2025.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The significant accounting policies that have been used in the preparation of these consolidated financial statements are summarized below and in the succeeding pages. The policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation of Consolidated Financial Statements

- (a) Statement of Compliance with Philippine Financial Reporting Standards

The consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRS Accounting Standards). PFRS Accounting Standards are adopted by the Financial and Sustainability Reporting Standards Council (FSRSC) from the pronouncements issued by the International Accounting Standards Board and approved by the Philippine Board of Accountancy.

The consolidated financial statements have been prepared using the measurement bases specified by PFRS Accounting Standards for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) SEC Financial Reporting Reliefs Availed by the Group

In 2023 and prior years, the Group availed of several financial reporting reliefs granted by the SEC relating to the number of implementation issues of PFRS 15, Revenue from Contracts with Customers, and the related financial reporting interpretations affecting the real estate industry. In 2024, the Group adopted the previously deferred provisions of PFRS 15 and the related issuances of the Philippine Interpretations Committee, and International Financial Reporting Interpretations Committee (IFRIC) Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23) using full retrospective approach as allowed by SEC MC No. 08-2021, Amendment to SEC MC No. 14-2018, MC No. 03-2019, MC No. 04-2020, and MC No. 34-2020 to clarify transitory provision.

The adoption by the Group of these standards and interpretations using full retrospective approach has no significant impact to the amounts recognized in the consolidated financial statements as at January 1, 2024, hence, no adjustment was made to the opening balance of the Retained Earnings for the current period.

Discussed below and in the succeeding page are the relevant information about these standards and interpretations.

(i) IFRIC Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23) for Real Estate Industry

The IFRIC concluded that any inventory (work-in-progress) for unsold units under construction that the entity recognizes is not a qualifying asset, as the asset is ready for its intended sale in its current condition (i.e., the developer intends to sell the partially constructed units as soon as it finds suitable customers and, in signing a contract with a customer, will transfer control of any work-in-progress relating to that unit to the customer). Accordingly, no borrowing costs can be capitalized on such unsold real estate inventories. This has no impact in the consolidated financial statements as the Group did not have capitalized borrowing costs in the current and prior years.

(ii) PIC Q&A No. 2018-12-D, Concept of the significant financing component in the contract to sell and PIC Q&A No. 2020-04, Addendum to PIC Q & A 2018-12-D: Significant Financing Component Arising from Mismatch between the Percentage of Completion and Schedule of Payments

PFRS 15 requires that in determining the transaction price, an entity shall adjust the promised amount of consideration for the effects of the time value of money if the timing of payments agreed to by the parties to the contract (either explicitly or implicitly) provides the customer or the entity with a significant benefit of financing the transfer of goods or services to the customer. In those circumstances, the contract contains a significant financing component.

There is no significant financing component if the difference between the promised consideration and the cash selling price of the good or service arises for reasons other than the provision of finance to either the customer or the entity, and the difference between those amounts is proportional to the reason for the difference. Further, the Group does not need to adjust the promised amount of consideration for the effects of a significant financing component if the entity expects, at contract inception that the timing difference of the receipt of full payment of the contract price and that of the completion of the project, are expected within one year and significant financing component is not expected to be significant.

The adoption of IFRIC Agenda (PAS 23) and PIC Q&A No. 2018-12D has no significant impact in the consolidated financial statements, which require separate presentation of their effects. Based on management's assessment, the adoption of these standards and interpretation has not resulted to material adjustments in the Group's consolidated financial statements since the Group's 2023 real estate projects that qualified for significant financing component recognition were already at one-hundred (100%) completion as of December 31, 2023.

(c) Presentation of Consolidated Financial Statements

The consolidated financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, Presentation of Financial Statements. The Group presents all items of income, expense and other comprehensive income or loss in a single consolidated statement of comprehensive income.

The Group presents a third consolidated statement of financial position as at the beginning of the preceding period when it applies an accounting policy retrospectively or makes a retrospective restatement or reclassification of items that has a material effect on the information in the consolidated statement of financial position at the beginning of the preceding period. The related notes to the third consolidated statement of financial position are not required to be disclosed.

(d) Functional and Presentation Currency

These consolidated financial statements are presented in Philippine pesos, the Group's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the consolidated financial statements of the Group are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the Group operates.

2.2 Adoption of New and Amended PFRS Accounting Standards

(a) Effective in 2024 that are Relevant to the Group

The Group adopted for the first time the following amendments and annual improvements to PFRS Accounting Standards, which are mandatorily effective for annual periods beginning on or after January 1, 2024:

PAS 1 (Amendments) : Presentation of Financial Statements – Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants

PAS 7 and PFRS 7 (Amendments) : Statement of Cash Flows, and Financial Instruments: Disclosures – Supplier Finance Arrangements

PFRS 16 (Amendments) : Leases – Lease liability in a Sale and Leaseback

Discussed below and in the succeeding page are the relevant information about these pronouncements.

- (i) PAS 1 (Amendments), Presentation of Financial Statements – Classification of Liabilities as Current or Non-current. The amendments provide guidance on whether a liability should be classified as either current or non-current. The amendments clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and that the classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The application of these amendments had no significant impact on the Group's consolidated financial statements.
- (ii) PAS 1 (Amendments), Presentation of Financial Statements – Non-current Liabilities with Covenants. The amendments specify that if the right to defer settlement for at least 12 months is subject to an entity complying with conditions after the reporting period, then those conditions would not affect whether the right to defer settlement exists at the end of the reporting period for the purposes of classifying a liability as current or non-current. For non-current liabilities subject to conditions, an entity is required to disclose information about the conditions, whether the entity would comply with the conditions based on its circumstances at the reporting date and whether and how the entity expects to comply with the conditions by the date on which they are contractually required to be tested. The Group has no liabilities with covenants; hence, the application of these amendments had no significant impact on the Group's consolidated financial statements.

- (iii) PAS 7 and PFRS 7 (Amendments), Statement of Cash Flows, Financial Instruments: Disclosures – Supplier Finance Arrangements. The amendments add a disclosure objective to PAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enable users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, PFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk. The application of these amendments had no significant impact on the Group's consolidated financial statements.
- (iv) PFRS 16 (Amendments), Leases – Lease Liability in a Sale and Leaseback. The amendments require a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains. The new requirements do not prevent a seller-lessee from recognizing in profit or loss any gain or loss relating to the partial or full termination of a lease. The Group has no sale and leaseback transaction; hence, the application of these amendments had no significant impact on the Group's consolidated financial statements.

(b) Effective Subsequent to 2024 but not Adopted Early

There are amendments to existing standards effective for annual periods subsequent to 2024, which are adopted by the FSRSC. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and none of these are expected to have significant impact on the Group's consolidated financial statements:

- (i) PAS 21 (Amendments), The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability (effective from January 1, 2025).
- (ii) PFRS 9 and PFRS 7 (Amendments), Financial Instruments, and Financial Instruments: Disclosures – Amendments to the Classification and Measurement of Financial Instruments (effective from January 1, 2026).
- (iii) PFRS 18, Presentation and Disclosure in Financial Statements (effective from January 1, 2027). The new standard impacts the classification of profit or loss items (i.e., into operating, investing and financing categories) and the presentation of subtotals in the statement of profit or loss (i.e., operating profit and profit before financing and income taxes). The new standard also changes the aggregation and disaggregation of information presented in the primary financial statements and in the notes. It also introduces required disclosures about management-defined performance measures. The new standard, however, does not affect how an entity recognizes and measures its financial condition, financial performance and cash flows.
- (iv) PFRS 19, Subsidiaries without Public Accountability: Disclosures (effective from January 1, 2027). The new standard reduces the disclosure requirements prescribed by other standards for subsidiaries without public accountability. It changes disclosure requirements prescribed by other standards as the reporting entity will instead refer to PFRS 19 for required disclosures.

- (v) PFRS 10 and PAS 28 (Amendments), Consolidated Financial Statements and Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (effective date deferred indefinitely).

2.3 Basis of Consolidation

The Group's consolidated financial statements comprise the accounts of the Parent Company and its subsidiaries, as enumerated in Note 1.2, after the elimination of material intercompany transactions.

The financial statements of subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting principles.

Acquired subsidiaries are subject to either of the following relevant policies:

- (a) Business acquisitions of entities not under common control of a principal stockholder are accounted for using the acquisition method of accounting.
- (b) Business combinations arising from transfers of interests in entities that are under the common control of the principal stockholder are accounted for under the pooling-of interests method. Transfers of assets between commonly-controlled entities are accounted for under historical cost accounting; hence, the assets and liabilities are reflected in the consolidated financial statements at carrying values and no adjustments are made to reflect fair values or recognize any new assets or liabilities, at the date of the combination that otherwise would have been done under the acquisition method.

2.4 Financial Instruments

Financial assets and financial liabilities are recognized when the entity becomes a party to the contractual provisions of the financial instrument.

- (a) Financial Assets

Classification, Measurement and Reclassification of Financial Assets

The Group's financial assets are categorized into the following categories: financial assets at amortized cost, financial assets at fair value through profit or loss (FVTPL), and financial assets at fair value through other comprehensive income (FVOCI).

The Group's financial assets at amortized cost includes Cash and Cash Equivalents, Receivables, Advances to an Associate, and Deposit and other receivables presented under Other Non-Current Assets.

Financial Assets at Fair Value Through Other Comprehensive Income

At initial recognition, the Group can make an irrevocable election (on an instrument-by-instrument basis) to designate equity investments as at FVOCI; however, such designation is not permitted if the equity investment is held by the Group for trading or as mandatorily required to be classified as FVTPL.

Impairment of Financial Assets

The Group applies a general approach specifically, in relation to advances to an associate. The maximum period over which expected credit losses (ECL) should be measured is the longest contractual period where an entity is exposed to credit risk. In the case of these receivables from related parties, which are repayable on demand, contractual period is the short period needed to transfer the cash once demanded. Management determines possible impairment based on the sufficiency of the subsidiaries' highly liquid assets in order to repay the Group's receivables if demanded at the reporting date taking into consideration the historical defaults of the subsidiaries. If the Group cannot immediately collect its receivables, management considers the expected manner of recovery to measure ECL. If the recovery strategies indicate that the outstanding balance of advances to an associate can be collected, the ECL is limited to the effect of discounting the amount due over the period until cash is realized.

However, if the credit risk on a financial asset has not increased significantly since initial recognition, for debt instruments measured at amortized cost (except trade and other receivables where simplified approach is used) and at FVOCI, the Group measures and provides for credit losses that are expected to result from default events that are possible within 12-months after the end of the reporting period, except when there has been a significant increase in credit risk on the financial asset since initial recognition.

(b) Financial Liabilities

Financial liabilities, which include Loans and Borrowings, Trade and Other Payables [except output value-added tax (VAT) and other tax-related payables], Advances from Stockholders, and other liabilities (except advances from customers), are recognized when the Group becomes a party to the contractual terms of the instrument. All interest-related charges incurred on a financial liability are recognized as an expense in profit or loss in the consolidated statement of comprehensive income.

2.5 Property and Equipment

Land is initially measured at cost less any impairment in value. All other property and equipment are initially recognized at cost and are subsequently measured at cost less accumulated depreciation, amortization and any impairment in value. As no finite useful life for land can be determined, related carrying amounts are not depreciated.

Depreciation and amortization is computed on a straight-line basis over the estimated useful lives of the assets as follows:

Office equipment, furniture and fixtures	5-10 years
Machinery and equipment	5-10 years
Buildings and improvements, and land improvements	3-30 years
Transportation equipment	3-5 years

Right-of-use assets pertaining to lease of commercial office spaces are amortized over their lease term of five years.

2.6 Property Held for Sale or Development

Property held for sale or development is composed of parcels of land, condominium and parking units, which are measured at cost.

Costs of property held for sale or development are assigned using specific identification of their individual costs.

The Group recognizes the effect of revisions in the total project cost estimates in the year in which these changes become known. Any impairment loss from a real estate project is charged to operations during the period in which the loss is determined.

Any repossessed property arising from sales cancellation is recognized at cost. The difference between the carrying amount of the receivable or contract assets to be derecognized and the cost of the repossessed property is recognized in the statement of comprehensive income.

2.7 Interest in a Joint Arrangement

The Parent Company accounts for its joint arrangement as a joint operation wherein the Parent Company accounts for its share of any assets held jointly, any liabilities it has incurred, its share of any liabilities incurred jointly with the other venturers in relation to the joint arrangement, and any income earned and expenses incurred in respect of its interest in the joint operations.

The Parent Company's share of the assets held jointly is classified as part of Property Held for Sale or Development while the Parent Company's share of any liabilities incurred is presented as part of Other Current Liabilities account in the consolidated statement of financial position (see Notes 13, 17 and 24.2).

2.8 Investment Properties

Investment property is a property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment property is accounted for under the fair value model. The fair value of investment property is determined based on either the market approach using recent transaction prices for comparable properties and/or the discounted cash flow approach derived from management estimates of expected future net cash inflows from future rental payments over the term of the related existing lease contracts and the provisions of the Master Development Agreement (MDA) (see Note 13.2). The future cash flows were discounted at a certain discount rate, comparable to the current interest rate of an instrument with closely similar term as that of the lease contract and that is quoted in an active market.

2.9 Revenue and Expense Recognition

Revenue arises mainly from club races, real estate activities, sale of food, beverage and services, and other incidental activities related to the main operations of the Group.

The Group often enters into transactions involving club racing, sale of parcels of land and condominium and parking units, sale of food, beverage and services, and other incidental activities. The significant judgments used in determining the timing of satisfaction of the Group's performance obligation and the percentage benchmark used in recognizing revenue with respect to its contracts to sell real properties are disclosed in Notes 3.1(a) and (d).

Any sales cancellations are accounted for as contract modifications on the year of forfeiture. Any gain or loss on cancellation is charged to profit or loss.

In addition, the following specific recognition criteria must also be met before revenue is recognized:

Continuing Operations

- (a) Revenue from real estate sales – With respect to the sale of condominium and parking units (ongoing projects), revenue is recognized over time proportionate to the progress of the development of the said properties. Under this method, revenue is recognized by reference to the stage of development of the properties, i.e., revenue is recognized in the period in which the work is performed. This method faithfully depicts the transfer of goods or services because in a sale of real property, not all of the benefits are consumed by the customer until the complete satisfaction of the performance obligation. For completed properties, revenue is recognized at a point in time when control to the property is transferred to the customer. The Group's revenue, whether completed or ongoing projects, is recognized when at least 15% of the total contract price has already been collected [see Note 3.1(d)].

As for the sale of parcels of land, revenue is recognized at a point in time under the full accrual method. Under this method, the Group recognizes the revenue and cost from sale of undeveloped land in full when 20% or more of the contract price is received.

Revenue recognized from real estate sales, based on the foregoing discussions, is presented as Real Estate Sales under the Revenues section in the consolidated statement of comprehensive income.

If the transaction does not yet qualify as a sale, the deposit method is applied until all conditions for recording the sale are met. Pending the recognition of sale, any collections before the recognition of the sale are considered as unearned revenue and are recorded as part of Advances from customers under Other Current Liabilities account in the consolidated statement of financial position.

For tax reporting purposes, the Group uses the installment method (which is based on the percentage of collection) in computing its taxable income for the year if the total collections in the year of sale do not exceed 25% of the total contract price (see Note 25).

- (b) Revenue from rental – Revenue from rentals arising from the lease of investment properties is recognized on the straight-line basis over the lease term based on the provisions of the covering lease contracts, including any minimum rent-free period therein, plus additional rent-free period as mutually agreed by the contracting parties. [see Note 2.10(b)]. This is outside the scope of PFRS 15.

- (c) Revenue from sale of food, beverage and services – Revenues are recognized at a point in time upon delivery to and receipt of food and beverage by the customer. Invoices are due upon receipt by the customers.

Discontinued Operations

Revenue from club races – Revenue is recognized as earned based on the percentage of gross receipts from ticket sales in accordance with the Parent Company's franchise.

The Group assesses its revenue arrangement against specific criteria in order to determine if it is acting as a principal or agent. The Group concluded that it is acting as a principal in all of its revenue arrangements.

Incremental costs of obtaining a contract to sell real property to customers are recognized as an asset and are subsequently amortized over the duration of the contract on the same basis as revenue from such contract is recognized. Other costs and expenses are recognized in profit or loss upon utilization of services or receipt of goods or at the date they are incurred. The Group capitalizes certain commissions related to its sale of condominium and parking units, and presents such as part of Prepayments and Other Current Assets and Other Non-current Assets accounts in the consolidated statement of financial position. The amortization of these commissions is presented as part of Marketing fees under the Other Operating Expenses in the consolidated statement of comprehensive income (see Note 20).

Cost of real estate sales include the acquisition of the land, development costs incurred to date and estimated costs to complete the project, determined based on estimates made by the project engineers.

Operating expenses and other costs are recognized in profit or loss upon utilization of services or receipt of goods or at the date they are incurred.

In determining the transaction price, the Group adjusts the contract price for the effects of time value of money when the timing of payments agreed to with the customer provides either party with a significant benefit of financing the transfer of goods or services to the customer. In buyer financing arrangements where buyer payments are ahead of the development of the sold property, the Group recognizes interest expense which is presented as part of Other Income in the consolidated statement of comprehensive income. Conversely, in seller financing arrangements where the development of the sold property is ahead of buyer payment terms, the Group recognizes interest income which is presented as part of Finance income in the consolidated statement of comprehensive income.

The Group applies the practical expedient under PFRS 15 where the promised amount of consideration is no longer adjusted for the effects of significant financing component when the Group expects, at contract inception, that the period between when the Group transfers the promised good or service to a customer and when the customer pays for such good or service will be one year or less. The significant judgment used in determining the existence of significant financing component in the contract is disclosed in Note 3.1(c).

Under its contracts with customers, the Group will receive an unconditional right to payment for the total consideration upon the completion of the development of the condominium and parking units sold. Any rights to consideration recognized by the Group as it develops the property are presented as Contract Assets account in the consolidated statement of financial position. Contract assets are subsequently tested for impairment in the same manner as how the Group assesses impairment of its financial assets (see Note 4.1). Any consideration received by the Group in excess of the amount for which the Group is entitled is presented as Contract Liabilities account in the consolidated statement of financial position.

2.10 Leases

The Group accounts for its leases as follows:

(a) Group as Lessee

Subsequent to initial measurement, the lease liability will be reduced for payments made and increased for interest. These are remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments. When the lease liability is remeasured, the corresponding adjustment is reflected in the right-of-use asset, or profit or loss if the right-of-use asset is already reduced to zero.

The Group has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

(b) Group as a Lessor

The Group applies judgment in determining whether a lease contract is a finance or operating lease.

2.11 Employee Benefits

The Group provides post-employment benefits to employees through a defined benefit plan and defined contribution plans, and other employee benefits.

The Group's defined benefit post-employment plan covers all regular full-time employees. The pension plan is tax-qualified, non-contributory and administered by a trustee.

The defined benefit obligation is calculated annually by an independent actuary using the projected unit credit method.

2.12 Discontinued Operations

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as Net Loss from Discontinued Operations in the consolidated statement of comprehensive income. All other notes to the financial statements include amounts for continuing operations, unless indicated otherwise. The related results of operations and prior years' consolidated statements of comprehensive income have been restated.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Group's consolidated financial statements in accordance with PFRS Accounting Standards requires management to make judgments and estimates that affect the amounts reported in the consolidated financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Group's accounting policies, management has made the following judgments apart from those involving estimation, which have the most significant effect on the amounts recognized in the consolidated financial statements.

(a) Evaluation of the Timing of Satisfaction of Performance Obligations

The Group exercises critical judgment in determining whether each performance obligation promised in its contracts with customers is satisfied over time or at a point in time.

In making this judgment, the Group considers the following:

- any asset created or enhanced as the Group performs;
- the ability of the customer to control such asset as it is being created or enhanced;
- the timing of receipt and consumption of benefits by the customer; and,
- the Group's enforceable right for payment for performance completed to date.

The Group determined that its performance obligation to deliver pre-completed condominium and parking units is satisfied over time since it does not have an alternative use of the specific property sold as it is precluded by its contract from redirecting the use of the property for a different purpose. With respect to sale of completed condominium and parking units, and parcels of land, the Group satisfies the performance obligation at a point in time when the property is transferred to the customer (i.e., upon acknowledgment of the customer).

Further, the Group has rights over payment for development completed to date as the Group can choose to complete the development and enforce its rights to full payment under its contracts even if the customer defaults on amortization payments.

Continuing Operations

(i) Sale of pre-completed condominium and parking units

The Group determined that its performance obligation to deliver pre-completed condominium and parking units is satisfied over time since it does not have an alternative use of the specific property sold as it is precluded by its contract from redirecting the use of the property for a different purpose.

(ii) Sale of completed condominium and parking units and sale of parcels of land

With respect to sale of completed condominium and parking units, and parcels of land, the Group satisfies the performance obligation at a point in time when the property is transferred to the customer (i.e., upon acknowledgment of the customer). Further, the Group has rights over payment for development completed to date as the Group can choose to complete the development and enforce its rights to full payment under its contracts even if the customer defaults on amortization payments.

(iii) Sale of food and beverage

In determining the appropriate method to use in recognizing the Group's revenues from food and beverage, management determines that revenue is recognized at a point in time when the control of the goods have passed to the customer, i.e., generally when the customer acknowledged delivery of goods. The service component of the restaurant operations is deemed as an insignificant cause on the timing of satisfaction of performance obligation since it is only passage of time until the customer receives and consumes all the benefits after delivery of the food and beverage items.

Discontinued Operations

The performance obligation related to club races is also deemed satisfied over time when all the races for a particular racing day are hosted.

(b) Determining Existence of a Contract with Customer

In a sale of real estate properties, the Group's primary document for a contract with a customer is a signed contract to sell which is executed when the real estate property sold is completed and ready for use by customer. In rare cases wherein contract to sell are not executed by both parties, management has determined that the combination of other signed documentations with the customers such as reservation agreement, official receipts, computation sheets and invoices, would contain all the elements to qualify as contract with the customer (i.e., approval of the contract by the parties, which has commercial substance, identification of each party's rights regarding the goods or services and the related payment terms).

Moreover, as part of the evaluation, the Group assesses the probability that the Group will collect the consideration to which it will be entitled in exchange for the real estate property that will be transferred to the customer.

In evaluating whether collectability of an amount of consideration is probable, the Group considers the significance of the customer's downpayment in relation to the total contract price [see Note 3.1(e)].

Collectability is also assessed by considering factors such as past history with the customer and pricing of the property. Management regularly evaluates the historical cancellations and back-outs if it would still support its current threshold of customers' equity before commencing revenue recognition.

(c) Determination of the Existence of the Significant Financing Component in the Contract

The Group enters into real estate sales contracts offering various payment schemes to its customers. The timing of transaction price collection can significantly differ from the timing of the Group's fulfilment of its performance obligations. The Group exercises judgment in determining whether the contract terms provide a significant financing benefit to either the Group or its customers. This assessment is conducted at the inception of the contract, considering the contractual payment terms and the projected completion timeline of the related real estate development.

(d) Estimation of Percentage Benchmark Used in Recognition of Revenue from Real Estate Sales

The Parent Company uses judgment in evaluating the probability of collection of transaction price on real estate sales as a criterion for revenue recognition. Management believes that the revenue recognition criterion on percentage of collection is appropriate based on the collection history from customers and number of back-out sales in prior years.

Management assessed that the buyer's interest in the property is considered to have vested when the payment is at least 15% of the contract price.

(e) Determination of ECL on Receivables, Contract Assets, and Advances to an Associate and Other Related Parties

(i) Receivables and Contract Assets

The Group uses a provision matrix to calculate ECL for receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, product type, customer type and rating).

The provision matrix is based on the Group's historical observed default rates. The Group's management intends to regularly calibrate (i.e., on an annual basis) the matrix to consider the historical credit loss experience with forward-looking information (i.e., forecast economic conditions). Details about the ECL on the Group's Receivables and Contract Assets are disclosed in Note 4.1(b).

(ii) Advances to an associate and other related parties

ECL is measured using liquidity approach based on the related party's ability to repay the advances upon demand at the reporting date taking into consideration the historical defaults from the related parties.

(f) Distinction Among Owner-occupied Properties, Property Held for Sale or Development, and Investment Properties

The Group determines whether a property qualifies as Property and Equipment, Property Held for Sale or Development or Investment Property. In making its judgment, the Group considers whether the property generates cash flows largely independent of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to the property but also to other assets used in business while property held for sale or development are properties that will eventually be sold or developed. On the other hand, investment property generally generates cash flows independent with the other assets of the Group.

Some properties comprise a portion that is held to earn rental or for capital appreciation and another portion that is held for administrative purposes. If these portions can be sold separately (or leased out separately under finance lease), the Group accounts for the portions separately. If the portions cannot be sold separately, the property is accounted for as investment property only if an insignificant portion is held for administrative purposes. Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as investment property. The Group considers each property separately in making its judgment.

(g) Distinction Between Joint Operation and Joint Venture

The Group determines whether a joint arrangement is classified as a joint operation or a joint venture. In making its judgement, the Group considers the structure of the joint arrangement. When the joint arrangement is structured through a separate vehicle, the Group considers the following factors: (i) the legal form of the separate vehicle; (ii) the terms of the contractual arrangement; and, (iii) other facts and circumstances.

The Group has determined that it does not have a significant influence, but has joint control over the development of the property with Sta. Lucia Realty & Development, Inc. (Sta. Lucia), a related party through interlocking directorates, due to the contractually agreed sharing of control over the property wherein decision on relevant activities require unanimous consent between the Group and its co-venturer. The Group recognizes its interest over the property as joint operations (see Notes 2.7 and 13).

(h) Recognition of Provisions and Contingencies

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive obligation that has resulted from past events.

Judgment is exercised by management to distinguish between provisions and contingencies. Policies on recognition and disclosures of provisions and contingencies are discussed in Note 27.

(i) Determination of Lease Term of Contracts with Renewal and Termination Options

In determining the lease term, management considers all relevant factors and circumstances that create an economic incentive to exercise a renewal option or not exercise a termination option. Renewal options and/or periods after termination options are only included in the lease term if the lease is reasonably certain to be extended or not terminated.

For lease of the Group's office, the factors that are normally the most relevant are (a) if there are significant penalties should the Group pre-terminate the contract, and (b) if any leasehold improvements are expected to have a significant remaining value, the Group is reasonably certain to extend and not to terminate the lease contract. Otherwise, the Group considers other factors including historical lease durations and the costs and business disruption required to replace the leased asset. The Group does not include the renewal period as part of the lease term for lease of its offices.

The lease term is reassessed if an option is actually exercised or not exercised or the Group becomes obliged to exercise or not exercise it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the Group.

(j) Distinction Between Operating and Finance Leases for Contracts where the Group is the Lessor

The Group has entered into various lease agreements on its investment property. Critical judgment was exercised by management to distinguish the lease agreement as either an operating or a finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the property covered by the agreement. Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities. Based on management's judgment, the Group's leases, where the Group is the lessor, were determined to be operating leases.

(k) Evaluation of Business Model Applied in Managing Financial Instruments

The Group developed business models which reflect how it manages its portfolio of financial instruments. The Group's business models need not be assessed at entity level or as a whole but shall be applied at the level of a portfolio of financial instruments (i.e., group of financial instruments that are managed together by the Group) and not on an instrument-by-instrument basis (i.e., not based on intention or specific characteristics of individual financial instrument).

In determining the classification of a financial instrument, the Group evaluates in which business model a financial instrument or a portfolio of financial instruments belong to taking into consideration the objectives of each business model established by the Group (e.g., held-for-trading, generating accrual income, direct matching to a specific liability) as those relate to the Group's investment and trading strategies.

(l) Testing the Cash Flow Characteristics of Financial Assets and Continuing Evaluation of the Business Model

In determining the classification of financial assets, the Group assesses whether the contractual terms of the financial assets give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal outstanding, with interest representing time value of money and credit risk associated with the principal amount outstanding. The assessment as to whether the cash flows meet the test is made in the currency in which the financial asset is denominated. Any other contractual term that changes the timing or amount of cash flows (unless it is a variable interest rate that represents time value of money and credit risk) does not meet the amortized cost criteria. In cases where the relationship between the passage of time and the interest rate of the financial instrument may be imperfect, known as modified time value of money, the Group assesses the modified time value of money feature to determine whether the financial instrument still meets the SPPI criterion. The objective of the assessment is to determine how different the undiscounted contractual cash flows could be from the undiscounted cash flows that would arise if the time value of money element was not modified (the benchmark cash flows). If the resulting difference is significant, the SPPI criterion is not met. In view of this, the Group considers the effect of the modified time value of money element in each reporting period and cumulatively over the life of the financial instrument.

In addition, PFRS 9 emphasizes that if more than an infrequent sale is made out of a portfolio of financial assets carried at amortized cost, an entity should assess whether and how such sales are consistent with the objective of collecting contractual cash flows. In making this judgment, the Group considers certain circumstances in its business model to assess that an increase in the frequency or value of sales of financial instruments in a particular period is not necessarily inconsistent with a held-to-collect business model if the Group can explain the reasons for those sales and why those sales do not reflect a change in the Group's objective for the business model.

(m) Determination on whether Lease Concessions Granted Constitute a Lease Modification

In line with the rental relief framework implemented by the government to support businesses and the broader economy due to the impact of COVID-19, the Group waived its right to collect rent and other charges as part of various lease concessions it granted to lessees such as lease payment holidays or lease payment reductions.

In making this judgment, the Group determines whether the rent concessions granted has changed the scope of the lease, or the consideration thereof, that was not part of the original terms and conditions of the lease. The Group assessed that the lease concessions it granted to lessees do not qualify as lease modifications since the terms and conditions under the corresponding lease contracts have not been modified by the waiver and therefore, is not a lease modification under PFRS 16.

The rent concessions granted by the Group to short-term lessees amounted to P0.5 million in 2022. There was no similar transaction for 2024 and 2023.

3.2 Key Sources of Estimation Uncertainty

Presented below and in the succeeding pages are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period.

(a) Determination of Appropriate Discount Rate in Measuring Lease Liabilities

The Group measures its lease liabilities at present value of the lease payments that are not paid at the commencement date of the lease contract. The lease payments were discounted using a reasonable rate deemed by management equal to the Group's incremental borrowing rate. In determining a reasonable discount rate, management considers the term of the leases, the underlying asset and the economic environment. Actual results, however, may vary due to changes in estimates brought about by changes in such factors.

(b) Revenue Recognition for Performance Obligations Satisfied Over Time

The Parent Company, with Ayala Land, Inc. (ALI) and Alveo Land Corporation (ALC), jointly develops the Makati City property where the condominium and parking units are located. As part of the agreement, Parent Company acquires a number of condominium and parking units being constructed and developed by ALC and ALI (see Note 13.2), which are for resale by the Parent Company to third parties.

In determining the amount of revenue to be recognized for performance obligations satisfied over time (sale of condominium and parking units), the Parent Company refers to the periodical progress completion reports being submitted by ALI and ALC. Such reports indicate the estimated percentage of completion based on stage of development of the properties. Management regularly monitors and verifies the estimates through the submitted completion reports by ALI and ALC. A significant change in estimated development costs would result in a significant change in the amount of revenue recognized in the year of change.

(c) Determination of Appropriate Discount Rate in Measuring Significant Financing Component

In the sale of real estate properties, the transaction price is recognized at the present value of the installment payments discounted to the date the entity expects to satisfy its performance obligation.

When adjusting the consideration for significant financing component, an entity shall use the discount rate that would be reflected in a separate financing transaction at contract inception. Management considers the discount rate which would reflect the credit characteristics of the party receiving financing in the contract as well as any collateral or security provided by the customer or entity.

Specifically, for contracts classified as 'seller financing,' the Group bases its lending rate on the rate extended to buyers who utilize its in-house financing. This lending rate is adjusted to reflect the specific circumstances of each financing transaction. For contracts classified

as 'buyer financing,' the Group estimates the discount rate using a borrowing rate that would be consistent with a separate financing transaction where the Group is considered the borrower.

(d) Estimation of Allowance for ECL

The measurement of the allowance for ECL on financial assets at amortized cost and contracts assets is an area that requires the use of significant assumptions about the future economic conditions and credit behaviour (e.g., likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Note 4.1.

(e) Estimation of Useful Lives of Property and Equipment and Right-of-use Assets

The Group estimates the useful lives of property and equipment and right-of-use assets based on the period over which the assets are expected to be available for use. The estimated useful lives of property and equipment and right-of-use assets are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets. The carrying amount of property and equipment (including the right-of-use assets) is presented in Note 10.

(f) Impairment of Non-financial Assets

The Group's policy on estimating the impairment of non-financial assets. Though management believes that the assumptions used in the estimation of fair values reflected in the financial statements are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of the Group's operations.

In 2022, the Group recognized an impairment loss amounting to P5.6 million (see Note 10). The impairment loss is presented as part of Net Loss from Discontinued Operations in the 2022 consolidated statement of comprehensive income (see Note 22). The franchise cost related to club racing business operation, on the other hand, was fully impaired in prior years. Except for the aforementioned, no other impairment losses were recognized on the Group's non-financial assets as of September 30, 2025 and December 31, 2024.

(g) Determination of Realizable Amount of Deferred Tax Assets

The Group reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Management assessed that the deferred tax assets recognized as at September 30, 2025 and December 31, 2024 will be fully utilized in the subsequent reporting periods. The carrying value of deferred tax assets as of those dates is disclosed in Note 25.

(h) Valuation of Post-employment Defined Benefit Obligation

The determination of the Group's obligation and cost of post-employment defined benefit is dependent on the selection of certain assumptions used by the actuary in calculating such amounts. Those assumptions include, among others, discount rates and expected rate of salary increases. A significant change in any of these actuarial assumptions may generally affect the recognized expense and the carrying amount of the post-employment defined benefit obligation in the next reporting period.

The amounts of retirement benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment defined benefit obligation are presented in Note 23.2.

(i) Fair Value Measurement of Financial Instruments

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the end of the reporting period.

The carrying values of the Group's financial assets at FVTPL and FVOCI and the amounts of fair value changes recognized on those assets are disclosed in Notes 9.1 and 14.1, respectively. The relevant fair value hierarchy of the Group's financial assets at FVTPL and FVOCI is disclosed in Note 5.3.

(j) Fair Value Measurement of Investment Properties

The Group's investment properties are composed of land and condominium units, which are held for lease or for capital appreciation, carried at fair value at the end of the reporting periods. The fair value of investment properties is determined based on either the market approach using recent transaction prices for comparable properties and/or the discounted cash flow approach derived from management estimates of expected future net cash inflows from future rental payments over the term of the related existing lease contracts and the provisions of the MDA (see Note 13.2). The future cash flows were discounted at a certain discount rate, comparable to the current interest rate of an instrument with closely similar term as that of the lease contract and that is quoted in an active market.

A significant change in key inputs and sources of information used in the determination of the fair value disclosed for those assets may result in adjustment in the carrying amount of the assets reported in the consolidated financial statements if their fair value will indicate evidence of impairment (see Note 5.5).

(k) Determination of Net Realizable Value of Property Held for Sale or Development

In determining the net realizable value of property held for sale or development, management takes into account the most reliable evidence available at the times the

estimates are made. The future realization of the carrying amounts of real estate inventory is affected by price changes in the different market segments as well as the trends in the real estate industry. These are considered key sources of estimation uncertainty and may cause significant adjustments to the property held for sale or development within the next reporting period. Considering the Group's pricing policy, the net realizable values of property held for sale or development are higher than their related costs.

The carrying value of Property Held for Sale or Development is disclosed in Note 13.

4. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risks which result from its operating, financing and investing activities. The Group's risk management is closely coordinated with the BOD, and focuses on actively securing the Group's short to medium-term cash flows by minimizing the exposure to financial markets.

The Group does not engage in the trading of financial assets for speculative purposes nor does it write options. The relevant financial risks to which the Group is exposed to are described below and in the succeeding pages.

4.1 Credit Risk

Credit risk is the risk that a counterparty may fail to discharge an obligation to the Group. The Group is exposed to this risk for various financial instruments, for example by granting receivables to customers, including related parties, and placing deposits with banks.

The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Group's policy is to deal only with creditworthy counterparties. Generally, the maximum credit risk exposure of financial assets and contract assets is the carrying amount as shown in the consolidated statements of financial position or in the detailed analysis provided in the notes to the consolidated financial statements, as summarized below (unaudited for 2025 and audited for 2024).

(Amounts in PHP)	Notes	Sep 2025	Dec 2024
Cash and cash equivalents	7	221,469,656	177,185,396
Receivables – net	8	230,473,196	348,727,810
Contract assets	19	25,966,647	1,714,145
Advances to an associate	24.9	12,500,000	12,500,000
Other non-current assets – Deposits and other receivables	14.2	2,541,225	4,023,223
		<u>492,950,724</u>	<u>544,150,574</u>

Certain financial assets of the Group, such as Cash and Cash Equivalents, Real Estate Receivables, Contract Assets and Rental receivables are secured by collateral or other credit enhancements, as described below and in the succeeding pages.

(a) Cash and Cash Equivalents

The credit risk for cash and similar financial assets herein is considered negligible or the probability of default from these reputable banks is remote since there has been no history of default from these counterparties and because of their high-quality external credit ratings.

Cash in banks are insured by the Philippine Deposit Insurance Corporation (PDIC) up to a maximum coverage of P0.5 million per depositor per banking institution, as provided for under Republic Act (RA) No. 9576, Amendment to Charter of PDIC. Effective March 15, 2025, the PDIC increased the maximum coverage to P1.0 million per depositor per banking institution.

For cash and cash equivalents, the Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Group's policy to measure ECL on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. As of September 30, 2025 and December 31, 2024, impairment allowance is not material.

(b) Receivables, Contract Assets and Advances to an Associate

Credit risk of receivables and contract assets from sale of real estate properties is managed primarily through credit reviews and analyses of receivables on a regular basis. The Group undertakes credit review procedures for all instalment payment terms. Exposure to doubtful accounts is not substantial as title to real estate properties are not transferred to the buyers until full payment of the amortization has been made and the requirement for remedial procedures is negligible considering the Group's buyers' profile.

The Group applies the simplified approach in measuring ECL which uses a lifetime expected loss allowance for all receivables and contract assets. The Group uses credit loss rate approach to calculate ECL for these financial assets. Management determined that there is no required ECL to be recognized on the Group's real estate receivables and contract assets since the real estate sold is collateralized to the related receivable arising from sale. Therefore, there is no expected loss given default as the recoverable amount from subsequent resale of the real estate is significantly higher than the carrying amount of the related receivables.

The credit enhancements such as advance payment and value of the real estate for sale are considered in the calculation of impairment as recoveries. Further, based on the experience of the Group, there were no cases of default and back out sales which resulted to the recognition of losses regarding the Group's real estate sales.

Other components of receivables such as rental receivables are also evaluated by the Group for impairment and assessed that no ECL should be provided. Rental receivables are secured to the extent of advance rental and rental deposit received from the lessees, which are in average equivalent to 6 to 12 months.

The Group considers credit enhancements in determining the expected credit loss. Trade receivables from real estate sales are collateralized by the real properties sold while rental

receivables are secured to the extent of advances rental and security deposits received from lessees.

The estimated fair value of collateral and other security enhancements held against receivables and contract assets are presented below and in the succeeding page (all figures are audited).

(Amounts in PHP)	Gross Maximum Exposure	Fair Value of Collaterals	Net Exposure
<u>2024</u>			
Real estate sales receivables	164,825,639	2,212,667,202	-
Rental receivables	199,981,375	25,931,565	174,049,810
	<u>364,807,014</u>	<u>2,238,598,767</u>	<u>174,049,810</u>
(Amounts in PHP)	Gross Maximum Exposure	Fair Value of Collaterals	Net Exposure
<u>2023</u>			
Real estate sales receivables	244,825,639	2,292,667,202	-
Rental receivables	208,772,738	34,705,891	174,066,847
	<u>453,598,377</u>	<u>2,327,373,093</u>	<u>174,066,847</u>

The Group uses a provision matrix to calculate ECL for its other receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns. The provision matrix is based on the Group's historical observed default rates. The Group's management intends to regularly calibrate (i.e., on an annual basis) the matrix to consider the historical credit loss experience with forward-looking information (i.e., forecast economic conditions).

With respect to advances to an associate and other receivables, the Group assessed that no ECL should be provided based on available liquid assets, existing and continuing business relations and credit standing of the counterparties. Hence, as of September 30, 2025 and December 31, 2024, the Group did not recognize any ECL allowance for the foregoing financial assets.

The Group's management considers that all receivables and contract assets are not impaired, except those specifically provided with allowance for impairment as of September 30, 2025 and December 31, 2024.

(c) Deposits and Other Receivables

With regard to deposits and other receivables, the Group is not subject to significant credit risk since the counterparties have strong financial condition. These are no longer discounted since management believes that the effect of discounting is not material to the consolidated financial statements.

4.2 Interest Rate Risk

The Group's policy is to minimize interest rate cash flow risk exposures on all financial instruments. As at September 30, 2025 and December 31, 2024, the Group is exposed to changes in market interest rates on its cash and cash equivalents, which are subject to variable interest rates (see Note 7). All other financial assets and financial liabilities have fixed rates or are noninterest-bearing.

The sensitivity of the Group's profit before tax is analyzed based on a reasonably possible change in interest rates of $\pm 0.31\%$ in 2024 and $\pm 0.76\%$ in 2023 with effect from the beginning of the year. These changes are considered to be reasonably possible based on observation of current market conditions. The percentage changes in rates have been determined based on the average market volatility in interest rates, using standard deviation, in the previous 12 months, estimated at 99% confidence level. The sensitivity analysis is based on the Group's financial instruments held at the end of each reporting period, with effect estimated from the beginning of the year. With all other variables held constant, if the interest rate increased by 0.31% in 2024 and 0.76% in 2023, profit before tax in 2024 and 2023 would have increased by P0.6 million and P1.1 million, respectively. Conversely, if the interest rate decreased by the same percentage, profit before tax would have been lower by the same amount.

The Group has limited exposure to interest rate risk on loans and borrowings because outstanding loans and borrowings as of September 30, 2025 and December 31, 2024 are either noninterest-bearing or have fixed interest rate.

4.3 Liquidity Risk

The Group manages its liquidity needs by carefully monitoring scheduled debt servicing payments for long-term financial liabilities as well as cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of a rolling 30-day projection. Long-term liquidity needs for a six-month and one-year period are identified monthly. The Group maintains cash to meet its liquidity requirements for up to a 60-day period. Excess cash are invested in time deposits, mutual funds or short-term marketable securities.

As at December 31, 2024 and 2023, the Group's financial liabilities, excluding Lease liabilities in which the related undiscounted maturity analysis is already presented separately in Note 11.2, have contractual maturities which are presented below (all figures are audited).

(Amounts in PHP)	Current		Non-current	
	Within Six Months	Six to 12 Months	One to Five Years	Beyond Five Years
<u>December 31, 2024</u>				
Loans and borrowings	261,028,530	70,316,560	454,268,852	-
Trade and other payables*	621,350,052	-	-	-
Advances from stockholders	5,614,200	-	-	-
Other current liabilities	-	243,167,744	-	-
Other non-current liabilities	-	-	12,301,759	14,605,647
	<u>887,992,782</u>	<u>313,484,304</u>	<u>466,570,611</u>	<u>14,605,647</u>

<u>December 31, 2023</u>				
Loans and borrowings	219,361,864	52,652,850	454,268,852	41,666,667
Trade and other payables*	555,071,164	-	-	-
Advances from stockholders	5,643,946	-	-	-
Other current liabilities	-	232,686,704	-	-
Other non-current liabilities	-	-	204,102	13,727,100
	<u>780,076,974</u>	<u>285,339,554</u>	<u>454,472,954</u>	<u>55,393,767</u>

*Excluding accrued taxes and output VAT payable

The contractual maturities above reflect the gross cash flows, which may differ from the carrying values of the liabilities at the end of the reporting periods.

4.4 Equity Price Risk

Equity price risk is the risk that the fair values of quoted equity securities would decrease as the result of the adverse changes in the quoted equity prices as affected by both rational and irrational market forces. The equity price risk exposure of the Group arises mainly from its financial assets at FVTPL and FVOCI. It manages its risk arising from changes in market prices by closely monitoring the market price changes of the investments.

The observed volatility rates using standard deviation of the fair values of the Group's financial assets at FVTPL and FVOCI and their impact on the Group's profit before tax and equity as of December 31, 2024 and 2023 are summarized in the succeeding page (all figures are audited).

(Amounts in PHP)	<u>Observed Volatility Rates</u>		<u>Impact of Increase</u>		<u>Impact of Decrease</u>	
	<u>Increase</u>	<u>Decrease</u>	<u>Profit before tax</u>	<u>Equity</u>	<u>Profit before tax</u>	<u>Equity</u>
<u>December 31, 2024</u>						
Equity securities listed in the Philippines	+43.36%	-43.36%	<u>131,994,876</u>	<u>565,996,889</u>	<u>(131,994,876)</u>	<u>(565,996,889)</u>
<u>December 31, 2023</u>						
Equity securities listed in the Philippines	+28.96%	-28.96%	<u>102,032,053</u>	<u>425,975,577</u>	<u>(102,032,053)</u>	<u>(425,975,577)</u>

The assumed fluctuation rate is based on the average change in the PSE index in 2024 and 2023. The investments in listed equity securities are considered short-term investments which do not require hedging activities.

The investment in club share has no volatility rates as of September 30, 2025 and December 31, 2024 since the average monthly market price per share data was not available. Nevertheless, the impact of the volatility rates using standard deviation of the club share on the Group's net profit and equity is assessed by management to be not significant.

5. CATEGORIES AND FAIR VALUES OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

5.1 Comparison of Carrying Values and Fair Values

The carrying values and fair values of the categories of financial assets and financial liabilities presented in the consolidated statements of financial position are shown below (all figures are audited).

(Amounts in PHP)		2024		2023	
	Notes	Carrying Values	Fair Values	Carrying Values	Fair Values
Financial assets					
At amortized cost					
Current:					
Cash and cash equivalents	7	177,185,396	177,185,396	150,479,923	150,479,923
Receivables – net	8	348,727,810	348,727,810	341,800,067	341,800,067
Advances to an associate	24.9	12,500,000	12,500,000	25,000,000	25,000,000
Noncurrent:					
Receivables – net	8	-	-	117,804,750	134,526,480
Deposits and other receivables	14.2	4,023,223	4,023,223	4,660,863	4,660,863
		<u>542,436,429</u>	<u>542,436,429</u>	<u>639,745,603</u>	<u>656,467,333</u>
Financial assets at FVTPL –					
Equity securities	9.1	304,416,227	304,416,227	352,320,626	352,320,626
Financial assets at FVOCI –					
Equity securities	14.1	1,305,343,378	1,305,343,378	1,473,202,457	1,473,202,457
		<u>2,152,196,034</u>	<u>2,152,196,034</u>	<u>2,465,268,686</u>	<u>2,481,990,416</u>
Financial liabilities					
At amortized cost					
Current:					
Loans and borrowings	15	330,786,104	331,345,090	244,925,333	272,014,714
Trade and other payables	16	636,883,661	636,883,661	555,071,164	555,071,164
Advances from stockholders	24.1	5,614,200	5,614,200	5,643,946	5,643,946
Other current liabilities	17	244,103,653	244,103,653	233,097,282	233,097,282
Noncurrent:					
Loans and borrowings	15	405,845,477	454,268,853	453,555,914	495,935,519
Other non-current liabilities	17	30,678,792	30,678,792	13,931,202	13,931,202
		<u>1,653,911,887</u>	<u>1,702,894,249</u>	<u>1,506,224,841</u>	<u>1,575,693,827</u>

Except for long-term receivables and loans and borrowings, management considers that the carrying amounts of the current financial assets and financial liabilities approximate their fair values.

See Note 2.4 for a description of the accounting policies for financial instruments. A description of the Group's risk management objectives and policies for financial instruments is provided in Note 4.

5.2 Fair Value Hierarchy

In accordance with PFRS 13, Fair Value Measurement, the fair value of financial assets and financial liabilities and nonfinancial assets which are measured at fair value on a recurring or nonrecurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed

in accordance with other relevant PFRS Accounting Standards, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market of another instrument which is substantially the same after taking into account the related credit risk of counterparties, or is calculated based on the expected cash flows of the underlying net asset base of the instrument.

When the Group uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

5.3 Financial Instruments Measured at Fair Value

As of December 31, 2024 and 2023, financial assets included in Level 1 amounting to P1,559.8 million and P1,780.5 million, respectively, comprise of equity securities classified as financial assets at FVTPL and FVOCI (see Notes 9.1 and 14.1). The equity securities were valued based on their market values quoted in PSE.

The club shares classified as financial assets at FVOCI amounting to P50.0 million and P45.0 million, respectively, as of December 31, 2024 and 2023, are included in Level 2 as their prices are not derived from market considered as active due to lack of trading activities among market participants at the end of 2024 and 2023.

5.4 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The fair value of cash and cash equivalents amounting to P221.4 million and P177.2 million as of September 30, 2025 and December 31, 2024, respectively, is classified as Level 1 while all other financial assets and financial liabilities measured at amortized cost which fair value is disclosed in Note 5.1 are classified as Level 3.

The fair value of the non-current portion of loans and borrowings and real estate receivables amounting to P431.8 million and nil, respectively, as of September 30, 2025, and P454.3 million and nil, respectively, as of December 31, 2024, were determined by discounting future cash flows related to these loans and receivables using the current market rate.

For financial assets with fair values included in Level 1, management considers that the carrying values of these financial instruments approximate their fair values due to their short-term duration. The fair values of the financial assets and financial liabilities included in Level 3, which are not traded in an active market, are based on the expected cash flows of the underlying asset or liability based on the instrument where the significant inputs required to determine the fair value of such instruments are not based on observable market data. Further, management considers that the carrying values of these financial instruments, except for the non-current portion of loans and borrowings and real estate receivables approximate their fair values as the effect of discounting is insignificant.

5.5 Fair Value Measurement of Investment Properties

The table below shows the levels within the hierarchy of the Group's investment properties measured at fair value on a recurring basis as of December 31, 2024 and 2023 (all figures are audited).

(Amounts in PHP)

	Level 1	Level 2	Level 3	Total
<u>2024:</u>				
Land	-	-	1,975,546,102	1,975,546,102
Condominium units	-	863,678,909	-	863,678,909
	-	863,678,909	1,975,546,102	2,839,225,011
<u>2023:</u>				
Land	-	-	1,717,962,422	1,717,962,422
Condominium units	-	703,681,602	-	703,681,602
	-	703,681,602	1,717,962,422	2,421,644,024

In estimating the fair value of these properties, management takes into account the market participant's ability to generate economic benefits by using the assets in their highest and best use. Based on management assessment, the best use of the Group's investment properties indicated above is their current use.

The Level 3 fair value of land was determined using the income approach. In doing so, the Group determines the amount within a range of reasonable fair value estimates. In making its

judgment, the Group considers information from a variety of sources including:

- Discounted cash flow projections based on reliable estimates of future cash flows, derived from the terms of any existing lease and other contracts and (where possible) from external evidence such as current market rents for similar properties in the same location and condition, and using discount rates that reflect current market assessments of the uncertainty in the amount and timing of the cash flows; and,
- Current prices in an active market for properties of different nature, condition or location (or subject to different lease or other contracts), adjusted to reflect those differences and recent prices of similar properties in less active markets, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices with consideration of the provisions in the MDA as disclosed in Note 13.2 in the determination of terminal value.

The reconciliation of the carrying amount of investment properties included in Level 3 as of December 31 is presented below (all figures are audited).

(Amounts in PHP)	Note	2024	2023
Balance at beginning of year		1,717,962,422	1,475,029,520
Additions	12	207,520,731	3,962,418
Fair value gains during the year	12	50,062,949	238,970,484
Balance at end of year		<u>1,975,546,102</u>	<u>1,717,962,422</u>

Principal Assumptions for Management's Estimation of Fair Value

If information on current or recent prices is not available, the fair values of investment properties are determined using the income approach of the discounted cash flow valuation techniques. The Group uses assumptions that are mainly based on market conditions existing at the end of each reporting period.

The time horizon considered in the discounted cash flow projection ranges from 18 years to 32 years in 2024 with discount rate of 9.70% and growth rate of 5.60%, 18 years to 33 years with discount rate of 9.15% and growth rate of 5.60% as well in 2023 and 18 years to 34 years with discount rate of 10.08% and growth rate of 7.20% in 2022. The other principal assumptions underlying management's estimation of fair value are those related to the following: comparable market prices; receipt of contractual rentals; expected future market rentals; void periods; maintenance requirements; and appropriate occupancy rates. These valuations are regularly compared to actual market yield data and actual transactions by the Group and those reported by the market.

On the other hand, the Level 2 fair value of condominium units was derived using market comparable approach that reflects the recent transaction prices for similar property in nearby locations. Under this approach, when sales prices of comparable property in close proximity are used in the valuation of the subject property with no adjustment on the price, fair value is included in Level 2.

The reconciliation of the carrying amount of investment property included in Level 2 as of

December 31, 2024 and 2023 is presented below (all figures are audited).

(Amounts in PHP)	Note	2024	2023
Balance at beginning of year		703,681,602	781,769,111
Fair value gains during the year	12	104,459,134	59,664,581
Reclassified from asset held for sale	12	65,445,071	-
Disposals	12	(31,842,857)	(161,752,090)
Additions		21,935,959	24,000,000
Balance at end of year		863,678,909	703,681,602

The Group considers that it is impracticable to discuss with sufficient reliability the possible effects of sensitivities surrounding the estimation of the fair value of investment property as the major assumptions used may differ significantly. With this, it is reasonably possible, based on existing knowledge, that the outcomes within the next financial year are different from assumptions that could require a material adjustment to the carrying amount of investment property. The expected future market rentals are determined based on current market for similar properties in the same nature and condition.

5.6 *Offsetting of Financial Assets and Financial Liabilities*

The Group has not set-off financial instruments in 2025 and 2024 and does not have relevant offsetting arrangements. Currently, financial assets and financial liabilities are settled on a gross basis.

6. SEGMENT INFORMATION

6.1 *Business Segments*

The Group's operating businesses are organized and managed separately according to the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets. The Group's main reportable operating segments are as follows:

- (a) Real Estate Operations – principally refer to general real estate business such as development and sale of land and condominium units;
- (b) Leasing – mainly relate to the leasing of horse stables, condominium units, and other facilities;
- (c) Sale of Food, Beverage and Services – refer to merchandising operations of food and non-food items, including the related services thereto; and,
- (d) Club Racing Operations – refer to the operation and maintenance of racetracks and holding of horse races. Club raising operations were effectively discontinued in 2022 (see Notes 1.1 and 22).

In 2013, PNGSI had the full operation of its business processing outsourcing facility; hence, an additional operating segment for the Group. However, PNGSI discontinued its business process outsourcing operations on February 15, 2014 and as of September 30, 2025 it has not resumed its operations.

Segment revenues and expenses that are directly attributable to business segments and the relevant portions of the Group's revenues and expenses that can be allocated to that business segment are accordingly reflected as revenues and expenses of that business segment. Management monitors the operating results of its operating segments separately for the purpose of making decisions about the resource allocation and performance assessment. Segment performance is evaluated based on net profit or loss and is measured consistently with the total comprehensive income.

6.2 Segment Assets and Liabilities

Segment assets and liabilities are allocated based on their physical location and use or direct association with a specific segment and they include all operating assets used and liabilities assumed by a segment.

6.3 Intersegment Transactions

As of September 30, 2025 and December 31, 2024, the Group's segments have no transactions between the other reportable segments; hence, no reconciliation of segment information to the amounts in the consolidated financial statements is presented.

6.4 Analysis of Segment Information

The segment result for the years ended December 31, 2024, 2023 and 2022 is shown below and in the succeeding page (all figures are audited).

(Amounts in PHP)	2024			
	Continuing Operations			
	Real Estate Sales	Rentals	Food, Beverage, and Services	Total
Revenues	13,715,020	65,085,640	29,751,006	108,551,666
Cost of sales and services	(7,961,107)	(1,335,834)	(16,518,580)	(25,815,521)
Gross profit	5,753,913	63,749,806	13,232,426	82,736,145
Other operating expenses	(24,179,068)	(60,442,680)	(15,141,525)	(99,763,273)
Operating profit (loss)	(18,425,155)	3,307,126	(1,909,099)	(17,027,128)
Finance cost	(21,138,047)	-	-	(21,138,047)
Finance income	787,937	-	-	787,937
Other income	-	165,950,806	-	165,950,806
Profit (loss) before tax	(38,775,265)	169,257,932	(1,909,099)	128,573,568
Tax income (expense)	2,854,822	6,518,754	(830,250)	8,543,326
Segment net profit (loss)	(35,920,443)	175,776,686	(2,739,349)	137,116,894

	2023			
	Continuing Operations			
	Real Estate Sales	Rentals	Food, Beverage, and Services	Total
Revenues	322,546,707	61,001,701	30,179,740	413,728,148
Cost of sales and services	(10,496,060)	(900,559)	(18,183,876)	(29,580,495)
Gross profit	312,050,647	60,101,142	11,995,864	384,147,653
Other operating expenses	(13,274,395)	(87,404,192)	(15,119,872)	(115,798,459)
Operating profit (loss)	298,776,252	(27,303,050)	(3,124,008)	268,349,194
Finance cost	(25,432,360)	-	-	(25,432,360)
Finance income	2,249,921	-	-	2,249,921
Other income	-	285,158,862	-	285,158,862
Profit (loss) before tax	275,593,813	257,855,812	(3,124,008)	530,325,617
Tax expense	(143,508,584)	(27,939,636)	(7,069,587)	(178,517,807)
Segment net profit (loss)	132,085,229	229,916,176	(10,193,595)	351,807,810

(Amounts in PHP)	2022				
	Continuing Operations				
	Real Estate Sales	Rentals	Food, Beverage, and Services	Total	Discontinued Operations
Revenues	190,235,499	73,434,522	24,683,596	288,353,617	11,935,658
Cost of sales and services	(22,946,248)	(972,911)	(15,239,837)	(39,158,996)	(37,030,023)
Gross profit (loss)	167,289,251	72,461,611	9,443,759	249,194,621	(25,094,365)
Other operating expenses	(2,224,389)	(68,121,314)	(10,735,191)	(81,080,894)	(16,839,592)
Operating profit (loss)	165,064,862	4,340,297	(1,291,432)	168,113,727	(41,933,957)
Finance cost	(32,849,945)	-	-	(32,849,945)	-
Finance income	30,425,549	-	-	30,425,549	-
Other income (charges)	-	53,351,051	-	53,351,051	(5,640,886)
Profit (loss) before tax	162,640,466	57,691,348	(1,291,432)	219,040,382	(47,574,843)
Tax income (expense)	(40,592,800)	(15,838,817)	520,936	(55,910,681)	41,947,800
Segment net profit (loss)	122,047,666	41,852,531	(770,496)	163,129,701	(5,627,043)

In 2023 and 2022, the Group sold a land to ALI amounting to P310.0 million and P138.8 million, respectively, which accounts for 82% and 53% of the Group's total revenues (see Note 19). The revenue from ALI is reported as part of Real estate sales segment. There was no similar transaction with a major customer in 2025 and 2024.

The segment assets and liabilities as of December 31, 2024 and 2023 are shown below (all figures are audited).

(Amounts in PHP)	Continuing Operations			
	Real Estate Sales	Rentals	Food, Beverage and Services	Total
<u>December 31, 2024</u>				
Segment assets	1,940,662,345	2,942,689,903	47,886,704	4,931,238,952
Segment liabilities	781,653,417	88,084,102	47,043,828	916,781,347
<u>December 31, 2023</u>				
Segment assets	2,767,616,775	2,559,540,115	38,132,821	5,365,289,711
Segment liabilities	719,013,696	70,624,916	39,240,726	828,879,338

The other segment information is shown below and in the succeeding page (all figures are audited).

(Amounts in PHP)	2024				
	Continuing Operations				
	Real Estate Sales	Rentals	Food, Beverage and Services	Total	
Depreciation and amortization	-	-	1,463,740	1,463,740	
Unrealized fair value gains	-	154,522,083	-	154,522,083	
	2023				
	Continuing Operations				
	Real Estate Sales	Rentals	Food, Beverage and Services	Total	
Capital expenditures	-	-	27,724	27,724	
Depreciation and amortization	-	-	2,318,545	2,318,545	
Unrealized fair value gains	-	298,635,065	-	298,635,065	
(Amounts in PHP)	2022				
	Continuing Operations				Discontinued Operations
	Real Estate Sales	Rentals	Food, Beverage and Services	Total	
Capital expenditures	-	-	83,590	83,590	-
Depreciation and amortization	-	-	2,595,866	2,595,866	-
Unrealized fair value gains	-	42,613,379	-	42,613,379	-

6.5 Reconciliations

The reconciliation of total segment balances presented for the Group's operating segments to the Group's consolidated balances are presented in the consolidated financial statements as follows (all figures are audited):

(Amounts in PHP)	2024	2023	2022
Profit or loss			
Segment net profit	137,116,894	351,807,810	163,129,701
Net loss from discontinued operations	-	-	(5,627,043)
Professional fees	(9,468,983)	(3,883,673)	(10,153,912)
Depreciation and amortization	(6,781,406)	(5,636,869)	(7,515,032)
Finance income	2,945,196	4,023,735	1,732,871
Finance cost	(69,242)	(66,951)	(61,960)
Other unallocated operating expenses	(57,702,308)	(89,607,628)	(79,672,183)
Other unallocated income (expense)	(28,535,362)	33,918,674	57,483,051
Net profit as reported in consolidated statements of comprehensive income	37,504,789	290,555,098	119,315,493
Assets		2024	2023
Operating segment assets		4,931,238,952	5,365,289,711
Financial assets at FVOCI		1,305,343,378	1,473,202,457
Financial assets at FVTPL		304,416,227	352,320,626
Other unallocated assets		1,073,373,237	491,231,343
Total assets as reported in statements of financial position		7,614,371,794	7,682,044,137

Liabilities		
Operating segment liabilities	916,781,347	828,879,338
Trade and other payables	506,244,770	463,500,165
Deferred tax liabilities - net	437,611,785	479,291,804
Elimination of intercompany accounts	(13,625,000)	(13,625,000)
Other unallocated liabilities	<u>258,173,609</u>	<u>241,449,156</u>
Total liabilities as reported in statements of financial position	<u>2,105,186,511</u>	<u>1,999,495,463</u>

7. CASH AND CASH EQUIVALENTS

The details of this account follow (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Cash on hand and in banks	P 106,670,766	P 137,030,818
Short-term placements	<u>114,798,890</u>	<u>40,154,578</u>
	<u>P 221,469,656</u>	<u>P 177,185,396</u>

Cash in banks generally earn interest based on daily bank deposit rates. Short-term placements have an average maturity of 35 days both in 2025 and 2024, respectively, and bear average interest rates of 5.08% in 2025 and 5.60% in 2024.

Interest income earned on cash in banks and short-term placements amounting to P1.70 million in 2025 and P0.82 million in 2024 are presented as part of Finance income under the Other Income account in the consolidated statements of comprehensive income (see Note 21).

8. RECEIVABLES

This account includes the following (unaudited figures for 2025 and audited for 2024):

	<u>Note</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Current:			
Real estate receivables	14.2	P 23,702,869	P 118,220,323
Accrued rent receivable		216,476,431	199,981,375
Receivables from customers		7,008,822	45,959,143
Others		<u>109,065</u>	<u>1,390,960</u>
		247,297,187	365,551,801
Allowance for impairment		(<u>16,823,991</u>)	(<u>16,823,991</u>)
		230,473,196	348,727,810
Non-current –			
Real estate receivables	14.2	<u>0</u>	<u>0</u>
		<u>P 230,473,196</u>	<u>P 348,727,810</u>

All of the Group's receivables have been assessed for impairment using ECL methodology. There were no impairment and write-offs required to be recognized in 2025 and 2024.

9. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS AND PREPAYMENTS AND OTHER CURRENT ASSETS

9.1 *Financial Assets at FVTPL*

The Group's financial assets at FVTPL comprised of listed equity securities and are classified by the Group to be carried at FVTPL. The details of this account follow: (unaudited figures for 2025 and audited for 2024).

	<u>Note</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Balance at beginning of year		P 304,416,227	P 352,320,626
Fair value gains (losses)	22	(38,648,254)	(47,904,399)
Additions		0	0
Disposals		(1,357,500)	0
Balance at end of year		<u>P 264,410,473</u>	<u>P 304,416,227</u>

9.2 *Prepayments and Other Current Assets*

The details of this account follow (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Prepaid taxes	P 69,529,088	P 65,576,224
Prepaid marketing fees	21,665,909	20,123,123
Prepaid expenses	3,826,915	16,138,816
Food and beverage inventories	848,084	848,084
Deferred input VAT	34,120	253,195
Input VAT	<u>1,912,397</u>	<u>0</u>
	<u>P 97,816,513</u>	<u>P 102,939,442</u>

Prepaid expenses include prepaid employee benefits, association dues, insurance and creditable withholding tax.

Prepaid marketing fees pertain to deferred commissions paid by the Group related to certain contracts of sale of condominium and parking units (see Note 13.2).

A reconciliation of the capitalized marketing fees is as follows (unaudited figures for 2025 and audited for 2024):

	<u>Note</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Balance at beginning of year		P 20,123,123	P 8,644,826
Accruals for the year		4,266,744	13,877,848
Amortization for the year	21.1, 21.3	(2,723,957)	(831,290)
Reversal		(0)	(1,568,261)
Balance at end of year		<u>P 21,665,909</u>	<u>P 20,123,123</u>

The amortization of capitalized marketing fees in 2025 and 2024 amounting to P2.7 million and P0.2 million, respectively, is presented as part of Marketing fees under the Other Operating Expenses in the consolidated statements of comprehensive income (see Notes 20.1 and 20.3).

10. PROPERTY AND EQUIPMENT

The gross carrying amounts and accumulated depreciation and amortization of property and equipment at the beginning and end of January to September 2025 and year 2024 are shown below (unaudited figures for 2025 and audited for 2024).

		<u>Land</u>	<u>Machinery and Equipment</u>	<u>Transportation Equipment</u>	<u>Buildings and Improvements and Land Improvements</u>	<u>Office Equipment, Furniture and Fixtures</u>	<u>Right-of-use Assets</u>	<u>Total</u>
September 30, 2025								
Cost	P	-	P 172,219,757	P 102,953,950	P 1,315,724,732	P 16,884,021	P 0	P 1,607,782,461
Accumulated depreciation and amortization		-	(161,298,036)	(92,582,210)	(730,428,474)	(16,303,179)	(0)	(1,000,611,899)
Accumulated impairment loss		<u>-</u>	<u>(9,822,534)</u>	<u>(1,383,803)</u>	<u>(553,363,819)</u>	<u>-</u>	<u>-</u>	<u>(564,570,156)</u>
Net carrying amount		<u>P -</u>	<u>P 1,099,187</u>	<u>P 8,987,937</u>	<u>P 31,932,440</u>	<u>P 580,842</u>	<u>P 0</u>	<u>P 42,600,407</u>
December 31, 2024								
Cost	P	-	P 172,219,762	P 101,580,736	P 1,356,440,545	P 16,843,843	P 11,509,232	P 1,658,594,117
Accumulated depreciation and amortization		-	(161,163,722)	(90,343,826)	(764,876,976)	(16,153,907)	(7,089,066)	(1,039,627,497)
Accumulated impairment loss		<u>-</u>	<u>(9,822,534)</u>	<u>(1,383,803)</u>	<u>(553,363,819)</u>	<u>-</u>	<u>-</u>	<u>(564,570,156)</u>
Net carrying amount		<u>P -</u>	<u>P 1,233,506</u>	<u>P 9,853,107</u>	<u>P 38,199,750</u>	<u>P 689,935</u>	<u>P 4,420,166</u>	<u>P 54,396,464</u>

The gross carrying amounts and accumulated depreciation, amortization, and impairment loss of property and equipment at the beginning and end of January to September 2025 and year 2024 are shown below (unaudited figures for 2025 and audited for 2024).

	<u>Land</u>	<u>Machinery and Equipment</u>	<u>Transportation Equipment</u>	<u>Buildings and Improvements and Land Improvements</u>	<u>Office Equipment, Furniture and Fixtures</u>	<u>Right-of-use Assets</u>	<u>Total</u>
Balance at January 1, 2025, net of accumulated depreciation, amortization and impairment	P 0	P 1,233,506	P 9,853,107	P 38,199,750	P 689,935	P 4,420,166	P 54,396,464
Additions	0	(5)	1,373,214	0	40,179	0	1,413,388
Reclassifications	0	0	0	(5,091,695)	0	(3,867,645)	(8,959,340)
Depreciation and amortization charges for the quarter-	-	(134,314)	(2,238,384)	(1,175,616)	(149,272)	(552,521)	(4,250,107)
Balance at September 30, 2025, net of accumulated depreciation, amortization and impairment	<u>P -</u>	<u>P 1,099,187</u>	<u>P 8,987,937</u>	<u>P 31,932,439</u>	<u>P 580,842</u>	<u>P 0</u>	<u>P 42,600,407</u>
Balance at January 1, 2024, net of accumulated depreciation, amortization impairment		P 1,483,267	P 10,651,655	P 40,061,156	P 1,013,905	P 338,667	P 53,548,650
Additions	-	-	2,647,000	5,355,393	9,584	4,735,892	12,747,869
Reclassifications		-	-	(3,641,407)	(13,502)	-	(3,654,909)
Depreciation and amortization charges for the year	-	(249,761)	(3,445,548)	(3,575,392)	(320,052)	(654,393)	(8,245,146)
Balance at December 31, 2024, net of accumulated depreciation, amortization and impairment	<u>P -</u>	<u>P 1,233,506</u>	<u>P 9,853,107</u>	<u>P 38,199,750</u>	<u>P 689,935</u>	<u>P 4,420,166</u>	<u>P 54,396,464</u>

In 2022, following the discontinuance of the Parent Company's horse racing operations, certain parcel of land representing the carrying value of the 65.5 hectares of land in Cavite developed as site of the Parent Company's racetrack was reclassified to Property Held for Sale or Development (see Note 14.1).

The amount of depreciation and amortization is allocated as follows (unaudited figures for 2025 and 2024):

	<u>Note</u>	<u>Sep 2025</u>	<u>Sep 2024</u>
Real estate sales		P 0	P 0
Rental		0	0
Other operating expenses	21.1	<u>4,250,109</u>	<u>3,867,424</u>
		<u>P 4,250,109</u>	<u>P 3,867,424</u>

The cost of fully depreciated and fully amortized assets that are still being used in the Group's operations amounts to P1,585.6 million and P1,585.6 million as of September 30, 2025 and December 31, 2024, respectively. In 2024, a fully depreciated asset originally acquired at P4.5 million was sold by the Group's for P0.5 million, which was recorded as a Gain on sale of disposal presented under Other Income of the 2024 statement of comprehensive income (see Note 21).

Due to continuous decline in revenues from club races in prior years, the Parent Company assessed that its property and equipment used in its racing activities were impaired. These property and equipment related to the Parent Company's racing activities have a total recoverable amount of P208.3 million (inclusive of land developed as racetrack) as of December 31, 2019 after recognizing impairment loss of P68.2 million in the same year. The recoverable amount is determined based on the asset's value in use estimated using a discount rate of 5.13%. In determining value in use, management estimates the expected future cash flows from each cash-generating unit and determines the suitable interest rate in order to calculate the present value of those cash flows.

In 2022, following the discontinuance of the horse racing franchise, the Parent Company further recognized impairment loss for certain equipment amounting to P5.6 million and is presented as part of Net loss from Discontinued Operations in the 2022 consolidated statement of comprehensive income (see Note 22.1). There was no impairment loss recognized in 2025 and 2024.

11. LEASES

The Parent Company has leases for certain commercial office spaces as a lessee. With the exception of short-term leases and leases of low-value underlying assets, the lease on its office space is reflected as Right-of-use assets under the Property and Equipment account and Lease liabilities under the Other Liabilities account on the consolidated statements of financial position. Variable lease payments which do not depend on an index or a rate are excluded from the initial measurement of the lease liability and asset.

The lease generally imposes a restriction that, unless there is a contractual right for the Parent Company to sublet the asset to another party, the right-of-use asset can only be used by the Parent Company. Lease is either non-cancellable or may only be cancelled by incurring a substantive termination fee. It contains an option to extend the lease for a further term upon mutual agreement between the parties. The Parent Company is prohibited from selling or pledging the underlying leased asset as a security.

The Parent Company must keep the property in a good state of repair and return the property in their original condition at the end of the lease. Further, the Parent Company must insure the leased asset and incur maintenance fees on such items in accordance with the lease contract.

In 2024, the Parent Company entered into a lease agreement as lessee with a third party, for an office space for a period of five years. The Parent Company recognized right-of-use asset and lease liability amounting to P4.7 million. There was no similar transaction in 2023.

11.1 Right-of-use Assets

The gross carrying amount and accumulated amortization of the Parent Company's right-of-use assets at the beginning and end of 2024 and 2023 are shown in Note 10.

11.2 Lease Liabilities

Lease liabilities are presented as part of Other Current Liabilities and Other Non-current Liabilities accounts in the consolidated statements of financial position as follows (see Note 17) (all figures are audited):

(Amounts in PHP)	2024	2023
Current	935,909	410,578
Non-current	3,771,386	-
	<u>4,707,295</u>	<u>410,578</u>

The movements in the lease liabilities recognized in the consolidated statements of financial position are as follows (all figures are audited):

(Amounts in PHP)	Notes	2024	2023
Balance at beginning of year		410,578	1,973,029
Additions	10	4,735,892	-
Payments		(516,739)	(1,697,665)
Interest	11.4	69,242	101,926
Loss on rent concession	21	8,322	33,288
Balance at end of year		<u>4,707,295</u>	<u>410,578</u>

The lease liabilities are secured by the related underlying assets. The undiscounted maturity analysis of lease liabilities at December 31, 2024 and 2023 is as follows (all figures are audited):

(Amounts in PHP)	Within 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	Total
December 31, 2024						
Lease payments	1,107,876	1,107,876	1,107,876	1,107,876	738,584	5,170,088
Finance charges	(171,967)	(133,676)	(93,818)	(52,330)	(11,002)	(462,793)
Net present values	<u>935,909</u>	<u>974,200</u>	<u>1,014,058</u>	<u>1,055,546</u>	<u>727,582</u>	<u>4,707,295</u>
December 31, 2023						
Lease payments	416,094	-	-	-	-	416,094
Finance charges	(5,516)	-	-	-	-	(5,516)
Net present values	<u>410,578</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>410,578</u>

11.3 Lease Payments Not Recognized as Liabilities

The Group has elected not to recognize lease liability for short-term leases. Payments made under such leases are expensed on a straight-line basis. In addition, certain variable lease payments are not permitted to be recognized as lease liabilities and are expensed as incurred.

Variable lease payments not recognized in the related lease liabilities are expensed as incurred and include rentals based on gross sales of Off-track Betting (OTB) stations.

In 2022, the expenses relating to short-term and variable leases amounted to nil and P1.0 million, respectively, are presented as Site Rentals under Cost of Club Races (see Note 22.2) in the 2022 consolidated statement of comprehensive income. There was no similar transaction in 2024 and 2023.

Additional information on variable lease payments (related to Parent Company's horse racing operations which were discontinued in 2022) is as follows (all figures are audited):

(Amounts in PHP)	Number of agreements	Effect of 1% increase in	Increase in rent expense
Sale based on gross commissions on OTB stations	79	Gross Sales	10,145

At December 31, 2022, the Group is committed to short-term leases, and the total commitment at that date is P0.6 million. There was no short-term lease commitment as of December 31, 2024 and 2023.

11.4 Additional Profit or Loss and Cash Flow Information

The total cash outflow in respect of leases amounted to P0.5 million, P1.7 million and P1.5 million in 2024, 2023 and 2022, respectively. Interest expense in relation to lease liabilities amounted to P0.1 million both in 2024 and 2023, and P0.2 million in 2022, and is presented as part of Finance costs under Other Income in the consolidated statements of comprehensive income (see Note 21).

12. INVESTMENT PROPERTIES

The changes in the carrying amounts of investment properties presented in the consolidated statements of financial position are summarized below (unaudited figures for 2025 and audited for 2024).

	Notes	Land	Condominium and parking units	Total
<u>2025</u>				
Balance at beginning of year		P 1,975,546,102	P 863,678,909	P 2,839,225,011
Fair value gains		483,123,390	0	483,123,390
Reclassification		0	0	0
Additions		5,576,610	0	5,576,610
Disposal		<u>0</u>	<u>(0)</u>	<u>0</u>
Balance at end of June 2025		<u>P 2,464,246,102</u>	<u>P 863,678,909</u>	<u>P 3,327,925,011</u>
	Notes	Land	Condominium and parking units	Total
<u>2024</u>				
Balance at beginning of year		P 1,717,962,422	P 703,681,602	P 2,421,644,024
Fair value gains during the year	22	50,062,949	104,459,134	154,522,083
Reclassification		0	65,445,071	65,445,071
Additions		207,520,731	21,935,959	229,456,690
Disposal		<u>0</u>	<u>(31,842,857)</u>	<u>(31,842,857)</u>
Balance at end of year		<u>P 1,975,546,102</u>	<u>P 863,678,909</u>	<u>P 2,839,225,011</u>

Investment properties are mainly composed of parcels of land and condominium units that are currently held to earn rentals. Rental income from these properties amounted to P51.0 million, P49.8 million and P58.3 million in 2024, 2023 and 2022, respectively, and is included as part of Rentals under the Revenues section in the consolidated statements of comprehensive income (see Note 19). Related expenses incurred pertain to real property tax amounting to P11.3 million, P6.2 million and P1.7 million in 2024, 2023 and 2022, respectively, and are presented as part of Taxes and licenses under the Other Operating Expenses section in the consolidated statements of comprehensive income (see Note 20.3).

In 2025, the Group recognized additional investment properties in Circuit Makati amounting to P5.6 million, which is the combined book values of the 501 sqm property leased to E-Sakay and the 2,214 sqm property leased to Prosmash. These properties were reclassified from Property Held for Sale or Development to Investment Property, resulting in total excess fair value over book value of P483.1 million.

In 2024, the Group recognized additional investment properties amounting to P229.5 million which is composed of accumulated deposit for purchase of properties initially recognized as part of Other Non-Current Asset amounting to P161.3 million in the 2023 statement of financial position (see Note 14.2). The remaining balance of P68.2 million was recognized as part of Accounts payable under Trade and Other Payables in the 2024 consolidated statement of financial position (see Note 16).

Moreover, in 2024, the Group reclassified certain condominium units from Property Held for Sale or Development to Investment Properties amounting to P65.4 million (see Note 13.2 and 13.3).

In 2024 and 2023, certain condominium units classified as investment properties were sold by the Parent Company, resulting in a loss of P0.5 million and P15.7 million, respectively, and is presented as part of Other Income in the consolidated statements of comprehensive income (see Note 21). In 2023, the carrying amount of a parcel of land in Makati amounting to P4.0 million was reclassified by the Parent Company from Property and Equipment to Investment Properties to be leased out to third party (see Note 10). There was no similar transaction in 2024.

Rental income for certain leases is based on agreed monthly fixed fee or share in lessees' revenues, whichever is higher. In all the periods presented, the Group received rentals based on fixed rates.

None of the Group's investment properties are used as collateral for its interest-bearing loans and borrowings.

Other information about the fair value measurement and disclosures related to the investment properties are presented in Note 5.5.

13. PROPERTY HELD FOR SALE OR DEVELOPMENT

This account includes the following (unaudited figures for 2025 and audited for 2024):

	<u>Note</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Cavite City properties:	14.1		
PRCI-owned		P 713,683,685	P 713,683,685
PNVC-owned		<u>152,411,344</u>	<u>152,411,344</u>
		866,095,029	866,095,029
Makati City properties	14.2	952,950,709	978,731,713
Davao and Antipolo City properties	14.3	446,119,226	446,119,226
Quezon City properties	14.4	149,762,144	149,762,144
Taguig property	14.5	<u>448,000</u>	<u>448,000</u>
		<u>P2,415,375,108</u>	<u>P2,441,156,112</u>

The Parent Company entered into agreements with certain real estate developers to develop portions of the Parent Company's properties located in Cavite and Makati. Management assessed that the recoverable values of the properties exceed their carrying amounts; hence, no impairment is recognized in all periods presented. Furthermore, presented below and in the succeeding pages are relevant information for each of the property held for sale or development.

13.1 Cavite City Properties

The Parent Company has tracks of land in Cavite of approximately 214.9 hectares. Of the total land area, approximately 149.4 hectares is being developed as commercial and residential areas.

In 1999, the Parent Company entered into a joint venture agreement (the Agreement) with Sta. Lucia for the development of the 149.4 hectares of land (see Note 24.2). Based on the Agreement, the Parent Company agreed to contribute the land and Sta. Lucia, as the developer, agreed to shoulder the development costs.

The Parent Company has already received about 20.0 hectares of developed residential lots and about 9.8 hectares of developed commercial lots arising from the conditions of the Agreement. On the other hand, the development of a portion of the Cavite property into the Parent Company's racetrack and related facilities is divided into two phases:

- (i) Phase 1 involves the construction of the practice track for racehorses and the development of adjacent horse stable lots for sale and for lease to horse owners; and,
- (ii) Phase 2 covers the conversion of the practice track into a racetrack and the construction of a grandstand, offices, stables and other basic racing facilities.

The Phase 1 of the development project was completed in 2008 (see Note 24.3). With respect to Phase 2 development, which was completed in 2011, the Parent Company appointed several contractors, including Sta. Lucia, to undertake the various sections of the development.

The unpaid portion of the funds advanced by Sta. Lucia during the project development amounting to P137.2 million as of September 30, 2025 and December 31, 2024, which is noninterest-bearing, is presented as part of Other Current Liabilities account in the consolidated statements of financial position (see Note 17).

There are no commitments and contingencies on the part of the Parent Company related to the Agreement.

Documentation of ownership titles for the Cavite property is presently being completed. For the combined 29.8 hectares of developed subdivisions lots, Transfer Certificates of Title covering around 27.4 hectares are already obtained by the Parent Company as of September 30, 2025. Titling of the remaining portion of developed subdivisions lots, including the 65.5-hectare racetrack complex is still in progress.

In 2024, the Parent Company received a parcel of land in Cavite as a result of the dacion en pago arrangement with Sta. Lucia as settlement of outstanding receivables amounting to P2.0 million as of December 31, 2023.

In addition, PNVC owns properties also located in Cavite with a total land area of 4.6 hectares as of September 30, 2025 and December 31, 2024.

13.2 Makati City Properties

The movement of this account follows (unaudited figures for 2025 and audited for 2024):

	Sep 2025		Dec 2024	
	Area in square meters	Amount	Area in square meters	Amount
Land				
Balance at beginning				
end of year	145,549	P 288,869,271	145,549	P 288,869,271
Disposal/Reclassification	2,715	(5,576,610)	0	0
Balance at end of year	145,048	283,292,661	145,549	288,869,271
Condominium and Parking Units				
Balance at beginning of year		689,862,442		707,439,766
Reversal		(20,204,394)		9,736,217
Reclassification		0		(27,313,541)
Additions		0		0
Balance at end of year		669,658,048		689,862,442
		P 952,950,709		P 978,731,713

The Makati City properties include parcels of land where the Parent Company's old racetrack used to be located. It also includes office and parking units, which the Parent Company acquired from ALC in 2017 and 2015. The outstanding balance from this acquisition is presented as part of the Loans and Borrowings account in the consolidated statements of financial position (see Note 15.1).

On February 24, 2011, the BOD authorized and approved the execution and delivery of the MDA with ALI and ALC for the joint development of the Makati City property into a mixed-use real estate development.

Under the MDA, the Parent Company will contribute certain parcels of land to ALI depending on the status of the development of the mixed-use real estate development. ALI and ALC, on the other hand, shall construct and develop the Makati City property. In return, the Parent Company shall receive 18% of the saleable units.

Other salient features of the MDA are as follows:

- the removal of all unnecessary structures and settlers inside the Makati City property;
- the delivery of clean land titles, without any liens or encumbrances annotated therein;
- joint application for the re-zoning of the property from the present "recreational" to mixed use classification;
- completion of master planning by ALI and ALC; and,
- all titles to the property remain with the Parent Company. Depending on the development of specific projects, title for the covered property will then be released.

Under the MDA, ALI is also given the option to purchase the properties under certain terms and conditions agreed between the parties.

In addition, under a separate agreement, ALC is appointed as the exclusive marketing and sales agent for the units owned by the Parent Company under the MDA at a rate of 5% of the total gross proceeds of every sale. The deferred commissions relating to the sales are presented as Prepaid marketing fees under Prepayments and Other Current accounts in the consolidated statements of financial position (see Note 9.2).

The Parent Company recognized the sales of condominium and parking units for a total consideration of P13.7 million, P12.5 million and P51.5 million in 2024, 2023 and 2022, respectively, which are presented as part of the Real Estate Sales under the Revenues section in the consolidated statements of comprehensive income (see Note 19). In accordance with PFRS 15, the Parent Company accounts for contract receivables and obligations relating to the performance of the identified performance obligations. The details of Contract Assets and Contract Liabilities accounts as of September 30, 2025 and December 31, 2024 are presented in Note 19.

In 2023, the Parent Company also sold 1,181 square meters of land to ALI for a consideration of P310.0 million. Only 24% of total consideration from this transaction was received in 2023. During 2024, the Parent Company received the second partial payment amounting to P117.8 million. The remaining balance is payable until 2025 and is presented as part of current portion of Real Estate Receivables in the consolidated statements of financial position (see Note 8). In 2022, the Group sold 555 square meters of land to ALC for a consideration for P138.8 million, which was fully collected in the same year. These transactions are presented as part of Real Estate Sales under the

Revenues section in the 2023 and 2022 statement of comprehensive income (see Note 19). There was no similar transaction in 2024.

In 2024 and 2023, the Parent Company reversed certain cost of unit sold amounting to P9.7 million and P9.2 million, respectively, as a result of a back-out sale by certain customers. The related loss on cancellation of sale amounted to P22.7 million, P13.6 million and P6.3 million in 2024, 2023 and 2022, respectively, and is presented under Other Operating Expenses in the consolidated statements of comprehensive income (see Note 20.3).

In 2024, the Group reclassified certain condominium units from Property Held for Sale or Development to Investment Property amounting to P27.3 million (see Note 12). The reclassification was based on the change in use and the potential of the units to produce economic benefits as rental property (see Note 12).

13.3 Davao and Antipolo City Properties

The details of cost of the Group's parcels of land located in Davao and Antipolo City are as follows (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Balance at beginning of year	P 446,119,226	P 482,764,756
Additions	0	1,486,000
Reclassification	<u>0</u>	<u>(38,131,530)</u>
Balance at end of year	<u>P 446,119,226</u>	<u>P 446,119,226</u>

In 2024, certain condominium unit was reclassified to investment property due to a change in use to rent out the unit, which was deemed more beneficial in terms of additional cash flow. There was no similar reclassification in 2025.

13.4 Quezon City Property

In 2011, the Parent Company acquired eight parcels of land totalling 1.4 hectares amounting to P271.5 million from Sta. Lucia at the Neopolitan Subdivision in Quezon City (see Note 24.5).

As of September 30, 2025 and December 31, 2024, there are four parcels of land remaining with the Parent Company amounting to P149.8 million for both years.

13.5 Taguig City Property

In 2022, the Parent Company reclassified certain deposit for purchase of properties (recorded as part of Other Non-current Assets), relating to certain heritage park lots amounting to P0.4 million located at the Heritage Park in Taguig City. This corresponds to the grant of perpetual use and exclusive interment rights in the aforementioned sepulchre lot, together with the enjoyment of appurtenant rights and privileges in the common areas, facilities and services of the park pursuant to its operating programs, rules and regulations.

14. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME AND OTHER NON-CURRENT ASSETS

14.1 *Financial Assets at FVOCI*

The reconciliation of the carrying amounts of financial assets at FVOCI are as follows (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Balance at beginning of year	P1,305,343,378	P 1,473,202,457
Fair value gains – net	(163,872,936)	(167,859,079)
Disposals	(4,887,000)	0
Additions	<u>0</u>	<u>0</u>
Balance at end of year	<u>P1,136,583,442</u>	<u>P1,305,343,378</u>

Financial assets at FVOCI consist of listed equity securities and a proprietary club share with carrying amounts based on their fair values of P1,160.1 million and P50.0 million, respectively, as of September 30, 2025, and P1,255.3 million and P50.0 million, respectively, as of December 31, 2024. The fair values of listed equity securities were determined by reference to published prices quoted in an active market (i.e., PSE), while fair values of club shares were determined directly by reference to published prices from a SEC-registered club share broker.

In 2023, the Group disposed of certain listed equity securities for a total consideration of P6.5 million. As a result, the Group reclassified the cumulative unrealized fair value gain amounting to P0.2 million previously recognized in the Revaluation Reserves directly to Retained Earnings account. There was no similar transaction in 2025 and 2024.

The Group recognized a decrease in fair value of P167.9 million in 2024 while an increase in fair value amounting to P69.2 million and P116.5 million in 2023 and 2022, respectively, which are presented as Unrealized Fair Value Gains (Losses) on Financial Assets at FVOCI under the Other Comprehensive Income (Loss) section in the consolidated statements of comprehensive income (see Note 18.7).

Dividend income earned from Financial Assets at FVOCI in 2025 and 2024 is presented as part of Dividend income under Other Income in the consolidated statements of comprehensive income (see Note 21).

14.2 *Other Non-current Assets*

This account consists of the following (unaudited figures for 2025 and audited for 2024):

	<u>Notes</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Deposits and other receivables	4.1	P 2,541,225	P 4,023,223
Deposit for purchase of properties		417,989	417,989
Sponsorship advances		920,000	920,000
Goodwill	1.2	123,122	123,122
Miscellaneous		<u>13,556,892</u>	<u>12,221,390</u>
		<u>P 17,559,228</u>	<u>P 17,705,724</u>

Deposits and other receivables include advances to Manila Electric Railroad and Light Company for the installation of various poles and transformers in Cavite, and security deposits paid to Makati Cornerstone Leasing Corp for spaces in Circuit Lane.

Deposit for purchase of properties pertains to reservation fees, down payments, and amortization payments during the year for the condominium units which are intended to be held for capital appreciation in the future. The payments were classified as deposits since the properties are still under construction as of September 30, 2025 and December 31, 2024.

In 2024, the Parent Company received the title ownership of certain property in Sta. Rosa, Laguna and reclassified the related deposit for purchase of properties amounting to P152.0 million to Investment Properties (see Note 12). There was no similar reclassification in 2025.

Sponsorship advances pertain to cash advances made by the Parent Company to ALI for the latter's advertisement on its performing arts theatre.

Goodwill arose from the acquisition of PNVC (see Note 1.2), where the acquisition cost is higher than the fair value of the net assets acquired from the subsidiaries. Goodwill, which represents the expected synergy between the Parent Company and subsidiary's business and operations, is subject to annual impairment testing and whenever there is an indication of impairment. No impairment loss was recognized in any of the years presented.

15. LOANS AND BORROWINGS

Loans and borrowings consist of the following (unaudited figures for 2025 and audited for 2024):

	<u>Note</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
ALC	16.1	P 716,332,254	P 721,498,993
Global Versatech, Inc. (GVI)	16.2	<u>15,132,588</u>	<u>15,132,588</u>
		<u>P 731,464,842</u>	<u>P 736,631,581</u>

The classification of the loans and borrowings as presented in the consolidated statements of financial position follows (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Current	P 299,647,877	P 330,786,104
Non-current	<u>431,816,965</u>	<u>405,845,477</u>
	<u>P 731,464,842</u>	<u>P 736,631,581</u>

Interest expense from loans and borrowings amounted to P20.0 million and P19.0 million in the first nine months of 2025 and 2024, respectively, and are presented as part of Finance costs under the Other Income account in the consolidated statements of comprehensive income (see Note 21).

15.1 ALC Loan and Other Payables

On February 25, 2011, the Parent Company obtained an unsecured and noninterest-bearing loan from ALC amounting to P500.0 million (see Note 13.2). The loan was initially recorded at its estimated present value of P203.4 million using a discount rate of 6.18% (which is the rate of a similar instrument at the time the loan agreement was executed). In 2013, the Parent Company and ALC agreed to amend the term of the loan to make it due and demandable. In 2016, the Parent Company paid P43.8 million from this loan and the outstanding balance was restructured by both parties to be settled over a period of 12 years. The present value of the loan was approximately P289.4 million using a discount rate of 6.00%.

In 2024, the Group obtained a new promissory note from ALC amounting to P20.4 million. The note states that the Group unconditionally promises to pay without the need of notice of demand and collection from buyers will be applied as payment to such loan.

The outstanding liability from this transaction amounted to P277.6 million and P277.6 million as of September 30, 2025 and December 31, 2024, respectively.

In 2017, the Group acquired additional condominium and parking units in The Stiles Enterprise Plaza East Tower on account, payable until 2024. Outstanding balance of this loan amounting to P147.4 million as of December 31, 2024 and 2023, respectively, are also unsecured and with effective interest rate of 3.0%.

In 2022, the Parent Company acquired additional condominium and parking units in Astela Tower 1 on account, payable until 2027. This loan with outstanding balance amounting to P296.5 million as of September 30, 2025 and December 31, 2024, respectively, are also unsecured and with effective interest rate of 3.9%.

These loans do not include any covenants.

15.2 Payable to GVI

In July 2008, the Parent Company entered into an agreement with GVI for the latter to supply equipment to rehabilitate and upgrade the Parent Company's existing system, to increase the number of terminals and to develop new online betting systems or Totalizator Betting System (TOTE). Under the agreement, GVI also agreed to provide continuing operations maintenance and support services to the Parent Company's totalizator system. The totalizator system was deemed fully impaired as of December 31, 2024 and 2023.

Payment of the TOTE and related services will be made over a seven-year period starting July 2008 until June 2015, based on a certain percentage of gross receipts from ticket sales. The related deed of sale did not stipulate any interest on the loan. Hence, the Parent Company initially recorded the liability and the related asset at its estimated present value of P90.0 million using a discount rate of 10.00% (which is the rate of a similar instrument at the time the agreement was executed). The annual effective interest rate applied is 9.90% in 2015.

In 2015, the Parent Company and GVI extended the agreement until December 31, 2015. As of September 30, 2025, the two parties are still negotiating for the final settlement of the obligations arising from the expired agreement.

16. TRADE AND OTHER PAYABLES

The details of this account are presented below (unaudited figures for 2025 and audited for 2024).

	<u>Notes</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Accrued expenses	16, 25.6	P 223,500,509	P 237,672,667
Accounts payable		246,440,276	284,918,016
Dividends payable	19.5, 29	55,496,514	58,145,099
Due to National Stud Farm		34,523,902	34,523,902
Output VAT payable		15,598,689	15,533,609
Accrued taxes		6,506,879	8,298,012
Miscellaneous		<u>3,846,191</u>	<u>6,090,368</u>
		<u>P 585,912,960</u>	<u>P 645,181,673</u>

Accrued expenses include accrual of management bonuses, interest, and various operating expenses incurred during the year which are still unpaid as of the end of the reporting periods.

The Parent Company sets aside 25% of the breakages. Breakages pertain to the betting receipts corresponding to fractions of less than ten centavos eliminated from the dividends paid to the winning tickets. Breakages are divided equally among National Stud Farm, and donations to different charitable institutions in the area where the racetrack is located (see Note 17).

17. OTHER LIABILITIES

The details of this account are presented below (unaudited figures for 2025 and audited for 2024).

	<u>Notes</u>	<u>Sep 2025</u>	<u>Dec 2024</u>
Current:			
Payable to Sta. Lucia	14.1, 25.3		
	25.5	P 145,125,000	P 145,125,000
Payable to charitable institutions	17	54,043,881	54,043,881
Accrued marketing fees		12,846,886	10,175,418
Advances from customers	28	36,138,990	31,943,971
Security deposits		4,332,031	1,879,474
Lease liabilities	12.2	<u>0</u>	<u>935,909</u>
		<u>252,486,788</u>	<u>244,103,653</u>
Non-current:			
Security deposits		18,378,429	14,605,647
Accrued marketing fees		12,301,759	12,301,759
Lease liability	12.2	<u>0</u>	<u>3,771,386</u>
		<u>30,680,188</u>	<u>30,678,792</u>
		<u>P 283,166,976</u>	<u>P 274,782,445</u>

Payable to Sta. Lucia pertains to the unpaid portion of the funds advanced by Sta. Lucia for the development of the Parent Company's Cavite property and the outstanding balance for the acquisition of the Parent Company's Quezon City property (see Notes 24.3 and 24.5).

Accrued marketing fees pertains to unpaid commissions incurred by the Parent Company related to certain contracts of sale of condominium and parking units.

Security deposits include stables, OTB stations, and other security deposits. Stables deposits pertain to stable rentals for horse owners. OTB stations security deposits are paid by the owners of the sites where off-track betting stations are located. The amount of deposits ranges from P50,000 to P150,000 per site. Management expects that these deposits, other than those pertaining to Circuit Lane, which is presented as non-current, will be refunded to the site owners in the short-term as of September 30, 2025 and December 31, 2024 since club racing operations are effectively discontinued in 2022 (see Note 1.1).

18. EQUITY

18.1 Capital Management Objective, Policies and Procedures

The Group's capital management objective is to ensure the Group's ability to continue as a going concern.

The Group monitors capital on the basis of the carrying amount of equity as presented in the consolidated statements of financial position.

The Group sets the amount of capital in proportion to its overall financing structure, i.e., equity and liabilities. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new shares or sell assets to reduce debt.

As of September 30, 2025 and December 31, 2024, the Group's debt-to-equity ratio follows (unaudited figures for 2025 and audited for 2024):

	<u>Sep 2025</u>	<u>Dec 2024</u>
Total liabilities	P2,159,430,277	P2,105,186,511
Total equity	<u>5,640,511,489</u>	<u>5,509,185,283</u>
	<u>0.38 : 1:00</u>	<u>0.38 : 1:00</u>

18.2 Capital Stock

The details of this account are presented below (unaudited figures for 2025; audited for 2024).

	<u>No. of Shares</u>	<u>Amount</u>
Common shares – P1 par value		
Authorized	<u>1,000,000,000</u>	<u>P1,000,000,000</u>
Issued	<u>585,687,130</u>	<u>P 585,687,130</u>

On March 2, 1952, the SEC approved the listing of the Parent Company's shares. As of September 30, 2025 and December 31, 2024, 57.77% and 57.65% of the listed shares are held by the public. Such listed shares closed at P5.50 and P7.00 per share as of September 30, 2025 and December 31, 2024, respectively.

18.3 Additional Paid-in Capital (APIC)

The APIC as of September 30, 2025 and December 31, 2024 pertains to the amount recognized as a result of the issuance of shares through the exercise of the stock rights in 2009.

18.4 Treasury Shares

On March 1, 2013, the BOD authorized the Parent Company to reacquire additional shares up to an amount equivalent to 60% of unrestricted retained earnings as of December 31, 2012. Subsequently, the Parent Company and certain subsidiaries reacquired shares and appropriated an equivalent amount of retained earnings.

In 2017, PNVC acquired shares of the Parent Company classified as financial assets at FVOCI in PNVC's separate financial statements with cost of P219.9 million. In 2016, 2014 and 2012, PNVC also acquired shares of the Parent Company with a cost of P0.8 million, P3.7 million and P90.5 million, respectively. In 2016, Circuit Makati also acquired shares of the Parent Company with cost of P1.6 million. These are accounted for as part of Treasury Shares account in the consolidated statements of financial position.

As of September 30, 2025 and December 31, 2024, the cumulative number of shares repurchased by the Group consists of 78,023,574 treasury shares aggregating to an acquisition cost of P678.2 million.

The Parent Company's retained earnings are restricted to the extent of the cost of the treasury shares as of the end of the reporting periods.

18.5 Declaration of Cash Dividends

The Parent Company's BOD approved the declaration of the following cash dividends (all figures are audited):

Date of Declaration	Date of Record	Cash Dividends	
		Amount	Per Share
September 15, 2025	October 27, 2025	P 43,736,492	P 0.08
October 16, 2024	October 30, 2024	P 43,736,492	P 0.08
March 9, 2023	May 5, 2023	P 43,730,184	P 0.08

The total unpaid dividends as of September 30, 2025 and December 31, 2024 shown as part of Trade and Other Payables account in the consolidated statements of financial position, amounted to P55.5 million and P58.1 million, respectively (see Notes 16 and 28).

18.6 Retained Earnings

In previous years, the Parent Company's BOD approved the appropriation equivalent to the total cost of shares reacquired during the respective periods (see Note 18.4). As of

September 30, 2025 and December 31, 2024, the total appropriation related to treasury shares amounted to P678.2 million.

As of December 31, 2016, the Parent Company, apart from the appropriation for the acquisition of treasury shares, has total appropriations of P1,880.0 million for the furtherance of the Parent Company's real estate activities. In a BOD meeting held on March 22, 2017, the BOD approved the reversal of P280.0 million from the total appropriation made as of December 31, 2016, which was assessed by the BOD to be in excess of the funding requirement for the aforementioned purpose for the next five years. On November 12, 2020, the BOD approved the extension of appropriation of retained earnings for real estate activities of the Parent Company for another three years from December 2020 due to the COVID-19 pandemic restrictions affecting the construction activities.

On November 13, 2023, the Parent Company's BOD, through the Audit and Related Party Transactions Committee, approved the extension of the P1,600.0 million appropriation and an additional P200.0 million to support the real estate activities of the Parent Company for three years starting December 2023.

As of September 30, 2025 and December 31, 2024, the Appropriated Retained Earnings amounted to P2,478.2 million.

18.7 Revaluation Reserves

The components and reconciliation of items of other comprehensive income presented in the consolidated statements of changes in equity at their aggregate amount under the Revaluation Reserves account attributable to Parent Company's shareholders, are shown below (audited figures for 2024 and 2023).

(Amounts in PHP)	Financial Assets at FVOCI (see Note 14.1)	Defined Benefit Asset (see Note 23.2)	Total
Balance as of January 1, 2024	1,049,954,924	(12,065,540)	1,037,889,384
Unrealized fair value losses on financial assets at FVOCI	(167,859,079)	-	(167,859,079)
Remeasurements of post-employment defined benefit asset	-	(3,281,350)	(3,281,350)
Other comprehensive loss before tax	(167,859,079)	(3,281,350)	(171,140,429)
Tax income	-	820,338	820,338
Other comprehensive loss after tax	(167,859,079)	(2,461,012)	(170,320,091)
Balance as of December 31, 2024	882,095,845	(14,526,552)	867,569,293
Balance as of January 1, 2023	980,916,825	(10,658,210)	970,258,615
Unrealized fair value gains on financial assets at FVOCI	69,210,482	-	69,210,482
Remeasurements of post-employment defined benefit asset	-	(1,876,440)	(1,876,440)
Other comprehensive income (loss) before tax	69,210,482	(1,876,440)	67,334,042
Tax income	-	469,110	469,110
Other comprehensive income (loss) after tax	69,210,482	(1,407,330)	67,803,152
Transfer from revaluation reserves reclassified to retained earnings	(172,383)	-	(172,383)
Balance as of December 31, 2023	1,049,954,924	(12,065,540)	1,037,889,384

19. REVENUES

When the Group's management evaluates the financial performance of the operating segments, it disaggregates revenue similar to its segment reporting as presented in Notes 6.1 and 6.4.

The Group determines that the categories in the financial reports used by the management can be used to meet the objective of the disaggregation disclosure requirement of PFRS 15, which is to disaggregate revenue from contracts with customers into categories that depict how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors.

A summary of additional disaggregation from the segment revenues from continuing operations for 2024, 2023 and 2022 is shown below (all figures are audited).

(Amounts in PHP)	Notes	2024	2023	2022
PFRS 15 [see Note 2.9] – <u>Over time</u>				
Real estate sales – Sale of condominium and parking units	13.2	13,715,020	12,534,207	51,485,499
<u>At a point in time</u>				
Real estate sales – Sale of land – Makati City	13.2	-	310,012,500	138,750,000
Sale of food, beverage, and services		29,751,006	30,179,740	24,683,596
		<u>29,751,006</u>	<u>340,192,240</u>	<u>163,433,596</u>
PFRS 16 [see Note 2.10(b)] – Rentals:				
Investment properties	12	50,983,459	49,765,498	58,265,534
Stable rental		-	-	7,318,632
Others		14,102,181	11,236,203	7,850,356
	27.1	<u>65,085,640</u>	<u>61,001,701</u>	<u>73,434,522</u>
		<u>108,551,666</u>	<u>413,728,148</u>	<u>288,353,617</u>

The aggregate amount of transaction price allocated to partially or wholly unsatisfied contracts is P402.5 million, P172.9 million and P43.1 million in 2024, 2023 and 2022, respectively. The Group expects to recognize revenue from unsatisfied contracts as follows (all figures are audited):

(Amounts in PHP)	2024	2023	2022
Within a year	55,571,606	23,565,773	3,584,156
More than one year to three years	<u>346,890,837</u>	<u>149,330,583</u>	<u>39,494,641</u>
	<u>402,462,443</u>	<u>172,896,356</u>	<u>43,078,797</u>

The Group's contract assets and contract liabilities as of December 31 are classified as follows (all figures are audited):

(Amounts in PHP)	Contract Assets	Contract Liabilities
<u>December 31, 2024</u>		
Current	785,128	2,428,657
Non-current	929,017	2,936,170
	<u>1,714,145</u>	<u>5,364,827</u>
<u>December 31, 2023</u>		
Current	-	6,735,701
Non-current	-	-
	<u>-</u>	<u>6,735,701</u>

The significant changes in the balances of contract accounts related to real estate sales in 2024 and 2023 are as follows (all figures are audited):

(Amounts in PHP)	Contract Assets	Contract Liabilities
<u>December 31, 2024</u>		
Balance at beginning of year	-	6,735,701
Increase (decrease) due to cash received, net of increase due to recognition of revenue during the year	<u>1,714,145</u>	<u>(1,370,874)</u>
Balance at end of year	<u>1,714,145</u>	<u>5,364,827</u>
<u>December 31, 2023</u>		
Balance at beginning of year	-	-
Increase due to cash received, net of increase in revenue during the year	<u>-</u>	<u>6,735,701</u>
Balance at end of year	<u>-</u>	<u>6,735,701</u>

20. OPERATING EXPENSES

20.1 Operating Expenses by Nature

The details of operating expenses by nature are shown below (both periods are unaudited).

	<u>Jan - Sep 2025</u>	<u>Jan-Sep 2024</u>
Salaries and employee benefits	P 40,265,581	P 32,298,224
Cost of real property sold	21,078,123	10,251,528
Taxes and licenses	11,309,484	23,515,161
Utilities	9,549,878	8,321,980
Repairs and maintenance	8,765,706	8,631,677
Depreciation and amortization	4,250,109	3,867,424
Outside services	4,195,187	4,170,979
Transportation and travel	3,781,506	4,787,867
Professional fees	2,591,071	5,576,550
Representation	2,307,505	1,972,772
Communication	1,950,940	1,824,579
Cost of rental	1,360,369	804,159
Insurance	1,145,626	1,702,257
Supplies	980,599	992,848
Miscellaneous	<u>11,911,036</u>	<u>30,290,834</u>
Total	<u>P 125,502,721</u>	<u>P 139,008,839</u>

These expenses are presented in the consolidated statements of comprehensive income as follows (both periods are unaudited):

	<u>Jan - Sep 2025</u>	<u>Jan- Sep 2024</u>
Cost of sales and services:		
Real estate sale	P 21,078,123	P 10,251,528
Rental	1,360,369	804,159
Other operating expenses	<u>103,064,229</u>	<u>127,953,152</u>
Total	<u>P 125,502,721</u>	<u>P 139,008,839</u>

20.2 Other Operating Expenses

The details of other operating expenses are as follows (both periods are unaudited):

	<u>Jan - Sep 2025</u>	<u>Jan - Sep 2024</u>
Salaries and employee benefits	P 40,265,581	P 32,298,224
Taxes and licenses	11,309,484	23,515,161
Utilities	9,549,878	8,321,980
Repairs and maintenance	8,765,706	8,631,677
Depreciation and amortization	4,250,109	3,867,424
Outside services	4,195,187	4,170,979
Transportation and travel	3,781,506	4,787,867
Professional fees	2,591,071	5,576,550
Representation	2,307,505	1,972,772
Communication	1,950,940	1,824,579
Insurance	1,145,626	1,702,257
Supplies	980,599	992,848
Miscellaneous	<u>11,911,036</u>	<u>30,290,834</u>
Total	<u>P 103,064,229</u>	<u>P 127,953,152</u>

Other expenses include royalties, warehouse charges, pantry supplies and other miscellaneous expenses.

21. OTHER INCOME (CHARGES)

The details of other income (charges) are presented below (both periods are unaudited).

	<u>Jan - Sep 2025</u>	<u>Jan - Sep 2024</u>
Finance costs	(P 20,002,706)	(P 19,003,342)
Interest income	1,700,195	1,269,901
Fair value gains on Investment Properties	483,123,390	109,221,979
Fair value gains (losses) on Financial Assets at FVTPL	(44,811,773)	(46,740,977)
Dividend income	7,413,397	7,109,653
Others	<u>15,447,279</u>	<u>7,157,411</u>
Total	<u>P 442,869,782</u>	<u>P 59,014,625</u>

Dividend income refers to dividends received from financial assets at FVPTL and FVOCI.

Others include miscellaneous income and pre-termination fees received for cancellation of lease contract.

22. EMPLOYEE BENEFITS

23.1 Salaries and Employee Benefits

Details of salaries and employee benefits are presented below (all periods are audited).

(Amounts in PHP)	Note	2024	2023	2022
Short-term employee benefits		52,738,694	106,425,455	88,242,490
Post-employment defined benefit	23.2	1,070,028	1,002,908	8,581,409
	20.1	53,808,722	107,428,363	96,823,899

The salaries and employee benefits expense is allocated as follows (all periods are audited):

(Amounts in PHP)	Notes	2024	2023	2022
<u>Continuing Operations</u>				
Cost of services –				
Cost of food, beverage and services	20.2	-	-	1,662,449
Other operating expenses	20.3	53,808,722	107,428,363	85,725,123
	20.1	53,808,722	107,428,363	87,387,572
<u>Discontinued Operations</u>				
Cost of services –				
Club races	22.2	-	-	9,436,327
		53,808,722	107,428,363	96,823,899

23.2 Post-employment Defined Benefit

(a) Characteristics of the Defined Benefit Plan

The Parent Company maintains a funded, tax-qualified, non-contributory retirement plan that is being administered by trustee banks covering all regular full-time employees.

The normal retirement date of each member shall be the first day of the month coincident with or next following his attainment of age 55. In 2020, the BOD approved the new mandatory retirement age to 58, without mandatory extension of service. The plan also provides for an early retirement at age 50 with a minimum of ten years of credited service with the consent of the Parent Company's Retirement Committee. A member who is allowed by the Parent Company to continue to work on a yearly extension basis beyond his normal retirement date shall continue to be a member of the plan up to his late retirement date. The retirement benefit shall be a sum equal to one month's plan salary for every year of credited service. The normal, early and late retirement benefits shall be computed in accordance with the retirement benefit formula as of normal, early or late retirement date. There were no similar transactions for the subsidiaries and associates.

(b) Explanation of Amounts Presented in the Consolidated Financial Statements

Actuarial valuations are made annually to update the retirement benefit costs and the amount of contributions. All amounts presented below and in the succeeding pages are based on the actuarial valuation report obtained from an independent actuary in 2024, 2023 and 2022.

The amounts of post-employment benefit asset recognized in the consolidated statements of financial position are determined as follows (all periods are audited):

(Amounts in PHP)	2024	2023
Fair value of plan assets	45,479,427	53,016,964
Present value of the obligation	(32,429,602)	(32,674,614)
Effect of asset ceiling	(3,987,740)	(7,688,140)
	<u>9,062,085</u>	<u>12,654,210</u>

The movements in the fair value of plan assets are presented below (all periods are audited).

(Amounts in PHP)	2024	2023
Balance at beginning of year	53,016,964	63,255,312
Loss on plan assets (excluding amounts included in net interest)	(10,718,555)	(14,179,931)
Interest income	3,181,018	4,429,691
Benefits paid by the plan	-	(488,108)
	<u>45,479,427</u>	<u>53,016,964</u>

The movements in the present value of the retirement benefit obligation are as follows (all periods are audited):

(Amounts in PHP)	2024	2023
Balance at beginning of year	32,674,614	31,006,683
Current service cost	1,070,028	1,002,888
Interest expense	1,960,477	2,179,770
Benefits paid by the plan	-	(488,108)
Remeasurement on actuarial losses (gains) arising from:		
Experience adjustments	(3,361,746)	(1,813,180)
Changes in financial assumptions	86,229	786,561
Balance at end of year	<u>32,429,602</u>	<u>32,674,614</u>

The Parent Company recognized settlement loss in 2022 amounting to P6.2 million. There was no settlement in 2024 and 2023.

The composition of the fair value of plan assets at the end of the reporting period by category and risk characteristics is shown below (all periods are audited).

(Amounts in PHP)	2024	2023
Cash in banks	8,035,617	9,108,366
Loans and receivables	2,050,683	2,050,683
Quoted equity securities (casino and gaming)	35,730,375	43,140,400
Others	(337,248)	(1,282,485)
	<u>45,479,427</u>	<u>53,016,964</u>

The fair values of the above equity securities are determined based on quoted prices in active markets (classified as Level 1 of the fair value hierarchy).

The plan assets incurred a loss of P7.5 million and P9.8 million in 2024 and 2023, respectively, and earned a positive return P2.4 million in 2022.

Plan assets include the Parent Company's own financial instruments (see Note 24.8).

The components of amounts recognized in profit or loss and in other comprehensive income or loss in respect of the defined benefit post-employment plan are presented below and in the succeeding page (all periods are audited):

(Amounts in PHP)	2024	2023	2022
Reported in profit or loss:			
Net interest income	(1,220,541)	(2,249,921)	(574,587)
Current service cost	1,070,028	1,002,888	2,411,537
Interest on the effect of asset ceiling	461,288	1,245,670	4,877
Settlement loss	-	-	6,169,872
	<u>310,775</u>	<u>(1,363)</u>	<u>8,011,699</u>

(Amounts in PHP)	2024	2023	2022
Reported in other comprehensive income (loss):			
Loss on plan assets (excluding amounts included in net interest)	(10,718,555)	(14,179,931)	(679,316)
Effect of asset ceiling	4,161,688	11,276,872	(17,613,900)
Actuarial gains (losses) arising from changes in:			
Experience adjustments	3,361,746	1,813,180	816,229
Financial assumptions	(86,229)	(786,561)	2,434,478
	<u>(3,281,350)</u>	<u>(1,876,440)</u>	<u>(15,042,509)</u>

Current and past service cost is allocated and presented in the consolidated statements of comprehensive income under the following accounts (all periods are audited):

(Amounts in PHP)	2024	2023	2022
Cost of sales and services	-	-	5,151,772
Other operating expenses	1,070,028	1,002,908	3,429,637
	<u>1,070,028</u>	<u>1,002,908</u>	<u>8,581,409</u>

The net interest income in 2024, 2023 and 2022, is included as part of Finance income under Other Income in the consolidated statements of comprehensive income (see Note 21).

Amounts recognized in other comprehensive income or loss were included within items that will not be reclassified subsequently to profit or loss.

In determining the amounts of the defined benefit post-employment obligation, the following significant actuarial assumptions were used (all periods are audited):

	2024	2023	2022
Discount rates	5.93%	6.00%	7.03%
Expected rate of salary increase	3.00%	3.00%	3.00%

Assumptions regarding future mortality experience are based on published statistics and mortality tables. The average remaining working lives of an individual retiring at the age of 48 is 10 years for both males and females. These assumptions were developed by management with the assistance of an independent actuary. Discount factors are determined close to the end of each reporting period by reference to the interest rates of zero coupon government bonds with terms to maturity approximating to the terms of the post-employment obligation. Other assumptions are based on current actuarial benchmarks and management's historical experience.

(c) Risks Associated with the Retirement Plan

There are no unusual or significant risks to which the plan exposes the Parent Company. However, in the event a benefit claim arises under the Retirement Plan and the Retirement Fund is not sufficient to pay the benefit, the unfunded portion of the claim shall immediately be due and payable from the Parent Company to the retirement fund.

The plan exposes the Parent Company to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

(i) Investment and Interest Rate Risks

The present value of the defined benefit obligation is calculated using a discount rate determined by reference to market yields of government bonds. Generally, a decrease in the interest rate of a reference government bond will increase the plan obligation. However, this will be partially offset by an increase in the return on the plan's investments in debt securities and if the return on plan asset falls below this rate, it will create a deficit in the plan. Currently, the plan is heavily invested in equity securities.

Due to the long-term nature of the plan obligation, a level of continuing equity investments is an appropriate element of the Parent Company's long-term strategy to manage the plan efficiently.

(ii) Longevity and Salary Risks

The present value of the defined benefit obligation is calculated by reference to the best estimate of the mortality of the plan participants both during and after their employment, and to their future salaries. Consequently, increases in the life expectancy and salary of the plan participants will result in an increase in the plan obligation.

(d) Other Information

The information on the sensitivity analysis for certain significant actuarial assumptions, the Parent Company's asset-liability matching strategy, and the timing and uncertainty of future cash flows related to the retirement plan are described below and in the succeeding pages.

(i) Sensitivity Analysis

Each sensitivity analysis on the significant actuarial assumptions was prepared by remeasuring the defined benefit obligation at the consolidated statements of financial position date after first adjusting one of the current assumptions according to the applicable sensitivity increment or decrement (based on changes in the relevant assumption that were reasonably possible at the valuation date) while all other assumptions remained constant. The sensitivities were expressed as the corresponding change in the defined benefit asset.

It should be noted that the changes assumed to be reasonably possible at the valuation date are open to sensitivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

The following table summarizes the effects of changes in the significant actuarial assumptions used in the determination of the defined benefit obligation as of December 31, 2024 and 2023 (all periods are audited):

(Amounts in PHP)	Impact on Post-employment Defined Benefit Obligation		
	Change in Assumption	Increase in Assumption	Decrease in Assumption
<u>December 31, 2024</u>			
Discount rate	+ / - 100 bps	(1,144,452)	1,345,941
Salary growth	+ / - 100 bps	1,373,072	(1,184,998)
<u>December 31, 2023</u>			
Discount rate	+ / - 100 bps	(764,844)	851,230
Salary growth	+ / - 100 bps	868,514	(739,219)

(ii) Asset-liability Matching Strategies

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed by the Retirement Plan Trustee, as appointed by the Retirement Committee in the Trust Agreement executed between the parties. The duly appointed Retirement Plan Trustee is responsible for the general administration of the Retirement Plan and the management of the Retirement Fund. The Retirement Plan Trustee may seek the advice of counsel and appoint an investment manager or managers to manage the Retirement Fund. The Retirement Plan Trustee has no specific matching strategy between the plan assets and the plan liabilities. The Parent Company actively monitors how the duration and the expected yield of the investments are matching the expected cash outflows arising from the retirement obligations.

A large portion of the plan assets as of December 31, 2024 and 2023 consists of equity securities. The Parent Company believes that equity securities offer the best returns over the long term with an acceptable level of risk. The majority of equity securities are invested in entities in the casinos and gaming industry. Also, investments are considered to be in a concentrated portfolio since a significant portion is invested in the Parent Company's own shares.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

(iii) Funding Arrangements and Expected Contributions

The Parent Company is not required to pre-fund the future defined benefits payable under the retirement plan before they become due. For this reason, the amount and timing of contributions to the retirement fund are at the Parent Company's discretions. However, in the event a benefit claim arises and the retirement fund is insufficient to pay the claim, the shortfall will then be due and payable from the Parent Company to the retirement fund.

The plan is overfunded by P9.1 million based on the 2024 valuation. The Parent Company does not expect to make contribution to the plan during the next reporting period.

The maturity profile of undiscounted expected benefit payments for the next ten years from the plan follows (all periods are audited):

(Amounts in PHP)	2024	2023
Within one year	23,152,759	23,794,516
More than one year to five years	1,399,783	2,665,838
More than five years to ten years	2,651,075	11,764,879
	<u>27,203,617</u>	<u>38,225,233</u>

The weighted average duration of the defined benefit obligation at the end of the reporting period is 3.8 years.

23. RELATED PARTY TRANSACTIONS

The Group's related parties include its stockholders, related parties under common ownership, key management personnel and its retirement fund.

Based on the requirement of SEC Memorandum Circular 2019-10, Rules of Material Related Party Transactions of Publicly-listed Companies, transactions amounting to 10% or more of the total assets based on its latest consolidated financial statements that were entered into with related parties are considered material. In 2025 and 2024, there were no transactions with related parties that exceeds the 10% threshold to be considered material.

All individual material related party transactions shall be approved by at least two-thirds (2/3) vote of the Parent Company's board of directors, with at least a majority of the independent directors voting to approve the material related party transactions. In case that a majority of the independent directors' vote is not secured, the material related party transaction may be ratified by the vote of the stockholders representing at least two-thirds of the outstanding capital stock. For aggregate related party transactions within a 12-month period that breaches the materiality threshold of 10% of the consolidated total assets based on the latest financial statements, the same board approval would be required for the transactions that meet and exceeds the materiality threshold covering the same related party.

Directors with personal interest in the transaction should abstain from participating in discussions and voting on the same. In case they refuse to abstain, their attendance shall not be counted for the purposes of assessing the quorum and their votes shall not be counted for purposes of determining approval.

The following are the Group's transactions with related parties (all periods are audited):

(Amounts in PHP) Related Party Category	Note	Amount of Transactions			Outstanding Investment/ Receivable (Payable)	
		2024	2023	2022	2024	2023
Stockholders – Advances	24.1	(29,746)	34,746	27,149	(5,614,200)	(5,643,946)
Other Related Parties:						
Retirement plan	24.8	(7,537,537)	(10,238,348)	7,843,871	45,479,427	53,016,964
Advances	24.9	(12,500,000)	25,000,000	-	12,500,000	25,000,000
Purchase of shares	24.4	-	-	-	1,416,795,000	1,661,070,000
Joint operations	24.2	-	-	-	537,857,786	537,857,786
Project development	24.3	-	-	-	(137,200,000)	(137,200,000)
Other liability	24.5	-	-	-	(7,925,000)	(7,925,000)
Receivable	24.10	(2,000,000)	-	-	-	2,000,000
Key Management Personnel:						
Compensation	24.7	36,711,252	40,011,552	24,191,100	-	-
Management bonus	24.6	-	23,480,124	24,299,967	(259,215,173)	(259,215,173)

23.1 Advances from Stockholders

In 2013, PNGSI obtained unsecured, noninterest-bearing advances from various stockholders for working capital requirements. The advances are payable in cash upon demand and remained unpaid as of September 30, 2025 and December 31, 2024. Outstanding balances are presented as Advances from Stockholders account in the consolidated statements of financial position.

23.2 Joint Operations

The Parent Company has a joint venture agreement with Sta. Lucia, a related party through interlocking directorates. The joint venture agreement covers the development of the Parent Company's real estate property in Cavite (see Note 13.1).

23.2 Project Development

As part of the Phase 1 development mentioned in Note 13.1, the Parent Company appointed Sta. Lucia to undertake the project. The Parent Company has recognized a liability equivalent to the construction and development costs related to the project which was advanced by Sta. Lucia. In accordance with the construction agreement, 80% of the proceeds from the sale of the residential and commercial lots from the Agreement would be used to settle such liability. The Phase 1 of the development project has been completed in 2008. The unpaid portion of the funds advanced by Sta. Lucia during the project development amounting to P137.2 million as of September 30, 2025 and December 31, 2024, which is noninterest-bearing, is presented as part of Other Current Liabilities account in the consolidated statements of financial position (see Note 17).

23.3 Purchase of Shares

As of September 30, 2025 and December 31, 2024, the Parent Company owns shares of Sta. Lucia and is classified as follows (figures unaudited for 2025 and audited for 2024):

(Amounts in PHP)	Notes	Sep 2025	Dec 2024
Financial assets at FVOCI	14.1	932,520,000	1,126,795,000
Financial assets at FVTPL	9.1	240,000,000	290,000,000
		<u>1,172,520,000</u>	<u>1,416,795,000</u>

The Parent Company recognized a decrease amounting to P194.2 million in 2024 while an increase amounting to P58.2 million and P143.8 million in 2023 and 2022, respectively, in the fair value of these shares classified as financial assets at FVOCI, which are presented as part of Unrealized Fair Value Gains (Losses) on Financial Assets at FVOCI under the Other Comprehensive Income (Loss) section in the consolidated statements of comprehensive income (see Note 14.1).

The Parent Company recognized a decrease amounting to P50.0 million in 2024 while an increase amounting to P15.0 million and P37.0 million in 2023 and 2022, respectively, in the fair value of the FVTPL shares which are presented as part of Fair value gains (losses) on financial assets at FVTPL under the Other Income in the consolidated statements of comprehensive income (see Note 21).

In 2020, the Parent Company invested in the initial public offering shares of stock of Ayala Land Real Estate Investment Trust, a related party through interlocking directorates,

amounting to P23.8 million, which were classified as Financial Assets at FVOCI. The Parent Company recognized a decrease in fair value of these shares amounting to P4.0 million in 2024, P1.8 million in 2023 and P11.6 million in 2022, presented as part of Unrealized Fair Value Gains (Losses) on Financial Assets at FVOCI in the consolidated statements of comprehensive income (see Note 14.1).

23.4 Acquisition of Land in Quezon City

In 2011, the Parent Company acquired eight parcels of land covering 1.4 hectares amounting to P271.5 million from Sta. Lucia at the Neopolitan Subdivision in Quezon City (see Note 13.3). The outstanding balance amounting to P7.9 million, which is unsecured, noninterest-bearing and is payable on demand as of September 30, 2025 and December 31, 2024, is included as part of Other Current Liabilities account in the consolidated statements of financial position (see Note 17).

23.5 Management Bonus

As stipulated under its By-laws, the Parent Company regularly grants management bonus equivalent to 10% of the annual income before bonus and tax to all members of the BOD and Executive Committee and management staff. Management bonus is included as part of Salaries and employee benefits under the Other Operating Expenses account in the consolidated statements of comprehensive income (see Note 20.1 and 20.3). In 2024, the Parent Company did not accrue additional provision for management bonus. Unpaid management bonus is included as part of Accrued expenses under the Trade and Other Payables account in the consolidated statements of financial position (see Note 16).

23.6 Key Management Personnel Compensation

The compensation of key management personnel is broken down as follows (see Notes 20.1 and 23.1) (all periods are audited):

(Amounts in PHP)	2024	2023	2022
Short-term employee benefits	36,666,044	40,011,552	23,025,653
Post-employment defined benefit	45,208	-	1,165,447
	<u>36,711,252</u>	<u>40,011,552</u>	<u>24,191,100</u>

23.7 Transactions with Retirement Fund

As discussed in Note 23.2, the Parent Company maintains a funded, tax-qualified, noncontributory retirement plan that is being administered by trustee banks covering all regular employees. The Parent Company contributed P35.5 million in its retirement fund assets in 2022. There is no contribution made in 2024 and 2023.

The fair value of the Parent Company's retirement plan assets amounted to P45.5 million and P53.0 million as of December 31, 2024 and 2023, respectively (see Note 23.2).

Equity securities include shares of companies listed in the PSE. Cash in banks pertain to savings deposit earning 1.75% interest in both years. Loans and receivables include various receivables, accrued interest receivable and receivable from the Parent Company's loans to its employees.

As of September 30, 2025 and December 31, 2024, the retirement fund owns 7,923,500 shares of the Parent Company (included under Equity securities), as approved by the BOD for both years. The fair value of these shares amounted to P43.6 million and P55.5 million as of September 30, 2025 and December 31, 2024, respectively.

23.8 Advances to an Associate

In 2023, PCMI granted advances to OREE for working capital purposes amounting to P25.0 million. In 2024, PCMI recognized impairment on the advances amounting to P12.5 million. There was no similar transaction in 2023. The outstanding balance as of September 30, 2025 and December 31, 2024 is presented as Advances to an Associate in the consolidated statements of financial position.

23.9 Receivable from Sta. Lucia

In 2021, Sta. Lucia sponsored one of the racing events' prize of the Parent Company which was initially shouldered by the latter, which the Parent Company recorded as receivables. The outstanding balance from this transaction is recognized as part of Receivables in the 2023 consolidated statement of financial position. In 2024, the Parent Company received a parcel of land in Cavite as a result of the dacion en pago arrangement with Sta. Lucia as full settlement for the receivables.

24. CURRENT AND DEFERRED TAXES

The components of tax expense (income) as reported in the consolidated statements of comprehensive income for the 1st halves ended September 30, 2025 and 2024 follow (unaudited for both periods):

	<u>Jan - Sep 2025</u>	<u>Jan – Sep 2024</u>
Current tax expense (benefit):		
Regular corporate income tax (RCIT) at 25%	P 30,377,588	(P 8,302)
Minimum corporate income tax (MCIT) at 2%	0	0
Final tax	<u>425,049</u>	<u>349,223</u>
	30,802,637	340,921
Deferred tax expense relating to origination and reversal of temporary differences	<u>93,695,796</u>	<u>10,153,720</u>
Tax expense (income) reported in the statements of comprehensive income	<u>P 124,498,433</u>	<u>P 10,494,641</u>

A reconciliation of tax on pretax profit (loss) computed at the applicable statutory rates to tax expense (income) reported in the statements of comprehensive income follows (all figures are unaudited):

	<u>Jan - Sep 2025</u>	<u>Jan - Sep 2024</u>
Tax expense (benefit) on pre-tax income	P 105,773,089	(P 6,092,227)
Adjustment for income subjected to lower income tax rates	0	(2,371,748)
Tax effects of:		
non-taxable income	(8,924,545)	(38,725,447)
non-deductible expenses	5,940,264	23,529,538
Other taxable (deductible) transactions – Net	<u>21,709,625</u>	<u>34,154,526</u>
Tax expense reported in the statements of comprehensive income	<u>P 124,498,433</u>	<u>P 10,494,641</u>

The net deferred tax liabilities presented in the consolidated statements of financial position of the Group as of December 31 is shown below (all figures are audited).

<u>(Amounts in PHP)</u>	<u>2024</u>	<u>2023</u>
Deferred tax liabilities:		
Unrealized fair value gains on investment properties	448,085,541	409,146,364
Deferred gross profit	33,948,721	84,280,497
Uncollected gross profit	29,220,739	58,441,478
Accrued rental income	16,046,577	16,046,577
Prepaid marketing fee	3,077,401	1,707,413
Post-employment defined benefit	2,783,750	3,414,275
Unrealized fair value gains on financial assets at FVTPL - net	1,061,962	1,349,388
Lease liabilities	7,149	-
Right-of-use assets - net	-	84,667
	<u>534,231,840</u>	<u>574,470,659</u>
Deferred tax assets:		
Accrued management bonus	(66,954,206)	(66,954,206)
Unamortized past service cost	(8,487,116)	(9,784,364)
Allowance for impairment on receivables	(6,505,599)	(6,505,599)
Accrued marketing fee	(5,619,294)	(2,805,818)
NOLCO		
in subsidiaries	(4,056,219)	(4,107,535)
Allowance for impairment on advances to subsidiaries	(3,833,104)	(3,833,104)
Accrued marketing fee	(1,085,585)	(1,085,585)
Right-of-use assets - net	(78,932)	-
Lease liabilities	-	(102,644)
	<u>(96,620,055)</u>	<u>(95,178,855)</u>
Net deferred tax liabilities	<u>437,611,785</u>	<u>479,291,804</u>

The net deferred tax expense which forms part of the tax income (expense) presented in the consolidated statements of comprehensive income relate to the following (all figures are audited):

(Amounts in PHP)	Consolidated Profit or Loss		
	2024	2023	2022
Deferred gross profit	50,331,776	(42,937,910)	(62,257,383)
Unrealized fair value gains on investment property	(37,704,552)	(74,658,766)	7,670,408
Uncollected gross profit	29,220,739	(58,441,478)	-
Accrued marketing fee	2,813,476	(464,633)	2,426,971
Prepaid marketing fee	(1,369,984)	(1,168,928)	(107,201)
Amortization of past service cost NOLCO	(1,297,249)	(1,297,249)	(6,873,337)
	354,734	712,112	16,331,885
Unrealized fair value gains (losses) on financial assets at FVTPL	287,426	(86,991)	205,669
Post-employment defined benefit obligation	(189,813)	218,047	6,874,576
Right-of-use assets	163,598	338,667	(338,666)
Lease liabilities	(109,794)	(390,613)	360,522
Accrued management bonus	-	12,154,783	(3,963,804)
Accrued rental income	-	-	(4,119,863)
Allowance for impairment	-	-	(1,085,585)
Net deferred tax income (expense)	<u>42,500,357</u>	<u>(166,022,959)</u>	<u>(44,875,808)</u>
Consolidated Other Comprehensive Income			
	2024	2023	2022
Post-employment defined benefit asset	<u>820,338</u>	<u>469,110</u>	<u>3,760,627</u>

The Group is subject to MCIT, which is computed at 2.0% in 2024 and 1.5% in 2023 and 1.0% in 2022 of gross income net of allowable deductions, as defined under the tax regulations or RCIT, whichever is higher. No MCIT was reported by the Parent Company in 2023, 2022 and 2021 as the RCIT is higher than MCIT for the said taxable years. On the other hand, no MCIT and RCIT was reported by PNGSI and Circuit Makati in 2024, 2023, and 2022 as both are in a gross and net taxable loss position in those years. PNVC reported MCIT of P32,143 in 2024, P12,290 in 2023 and nil in 2022. However, there were creditable taxes from prior periods which PNVC applied rendering its tax expense to nil in 2024. PCM F&B reported nil in 2024 while MCIT of P208,640 and P107,370 in 2023 and 2022, respectively, as MCIT was higher than RCIT.

The balance of NOLCO of each subsidiary, together with their respective expiry dates, is shown in the succeeding page. These amounts may be applied against future taxable income of the respective subsidiary, if any, up to the year of NOLCO's validity. The Group's NOLCO incurred in 2021 and 2020, can be claimed as a deduction within the five years after the year it was incurred, pursuant to Section 4 (bbbb) of RA No. 11494, the Bayanihan to Recover as One Act, and as implemented under Revenue Regulation No. 25-2020 (all figures are audited).

(Amounts in PHP)

	Year Incurred	Amount	Total Applied	Total Expired	Remaining Balance	Valid Until
PNVC						
	2022	744,262	-	-	744,262	2025
	2021	1,519,620	-	-	1,519,620	2026
	2020	1,772,281	-	-	1,772,281	2025
		<u>4,036,163</u>	<u>-</u>	<u>-</u>	<u>4,036,163</u>	
Circuit Makati						
	2023	3,535,575	-	-	3,535,575	2026
	2022	2,734,495	-	-	2,734,495	2025
	2021	3,323,100	-	-	3,323,100	2026
	2020	3,310,706	-	-	3,310,706	2025
		<u>12,903,876</u>	<u>-</u>	<u>-</u>	<u>12,903,876</u>	
PNGSI (Unrecognized)						
	2023	29,646	-	-	29,646	2026
	2022	27,150	-	-	27,150	2025
	2021	24,630	-	-	24,630	2026
	2020	31,280	-	-	31,280	2025
		<u>112,706</u>	<u>-</u>	<u>-</u>	<u>112,706</u>	
PCM F&B						
	2021	1,011,541	-	-	1,011,541	2026
	2020	1,251,950	-	-	1,251,950	2025
		<u>2,263,491</u>	<u>-</u>	<u>-</u>	<u>2,263,491</u>	

Relative to the real estate sales transactions, Chapter VIII, Section 49 of the National Internal Revenue Code states that if payments received during the year of sale do not exceed 25% of the total contract price, the installment method on revenue recognition can be applied for tax purposes wherein the amount of taxable revenue recognized is up to the extent of installment payments actually received during the year. Hence, the collections during the year pertaining to the aforementioned transactions have been recognized as sales for tax purposes.

In 2024 and 2023, the Group opted to claim itemized deductions in computing for their income tax due.

25. EARNINGS (LOSS) PER SHARE

Earnings (loss) per share of the Group are computed as follows (unaudited for both periods):

	<u>Jan - Sep 2025</u>	<u>Jan - Sep 2024</u>
Net income (loss) attributable to the Parent Company	P 298,593,925	(P 34,863,550)
Divided by the weighted average number of outstanding common shares	<u>507,663,556</u>	<u>507,663,556</u>
	<u>P 0.588</u>	<u>(P 0.069)</u>

Diluted earnings per share is equal to basic earnings per share since the Group does not have potentially dilutive instruments as of September 30, 2025 and 2024.

26. COMMITMENTS AND CONTINGENCIES

The following are the significant commitments and contingencies involving the Group:

27.1 Operating Lease Commitments – Group as Lessor

The Parent Company entered into several operating lease agreements as lessor of its stables leased out to horse owners, and, parcels of land leased out to certain third parties. The leases to horse owners are normally for a period of one year and are renewable annually. A fixed rate per stable is charged monthly by the Parent Company. The Parent Company also leases certain parcels of land with terms ranging from 23 to 40 years and rates based on the higher of a fixed rate and a certain percentage of gross revenues, plus a share on rentals of the said properties.

The Parent Company's operating lease commitments as of September 30, 2025 and December 31, 2024 only pertain to parcels of land leased out to third party lessees.

The Group is a lessor under various non-cancellable operating lease agreements covering real estate properties for commercial use. Lease payments include fixed payments and variable lease payments based on a certain percentage share in the lessee's revenues. The terms of the leases range from one to 42 years, with renewal options and include annual escalation rates of 2% to 5%. Rental income from variable lease payments amounted to P22.2 million in 2024 and P24.4 million in 2022. There was no variable rental income recognized in 2023.

The total rental income recognized from these operating leases amounted to P65.1 million, P61.0 million and P73.4 million in 2024, 2023 and 2022, respectively, and is presented as Rentals under the Revenues section the consolidated statements of comprehensive income (see Note 19). Advance rentals relating to these leases amounted to P31.9 million and P20.5 million as of December 31, 2024 and 2023, respectively, and is presented as part of Advances from customers under the Other Current Liabilities account in the consolidated statements of financial position (see Note 17). There are no advance rentals for the other leases.

The future minimum lease payments under these non-cancellable operating leases as of December 31 are presented below (all figures are audited).

(Amounts in PHP)	2024	2023
Within one year	40,099,995	41,394,004
One to two years	41,468,269	42,498,095
Two to three years	42,545,266	43,691,941
Three to four years	42,816,737	43,514,101
Four to five years	44,412,061	44,732,375
More than five years	875,821,329	1,295,199,765
	<u>1,087,163,657</u>	<u>1,511,030,281</u>

Although the risks associated with rights the Group retains in underlying assets are not considered to be significant, the Group employs strategies to further minimize these risks. For example, ensuring all contracts include clauses requiring the lessee to compensate the Group when a property has been subjected to excess wear-and-tear during the lease term, the property was damaged and beyond repair, and/or the property was modified without the express consent conveyed in the contract.

27.2 Others

There are other commitments and contingencies that arise in the normal course of the Group's operations which are not reflected in the consolidated financial statements. As of September 30, 2025 and December 31, 2024, management is of the opinion that losses, if any, that may arise from these commitments and contingencies will not have a material effect on the Group's consolidated financial statements.

27. SUPPLEMENTAL INFORMATION ON CASH FLOWS

28.1 Reconciliation of Liabilities Arising from Financing Activities

Presented below is the reconciliation of liabilities arising from loans and borrowings, and dividends payable, which includes both cash and non-cash changes (all figures are audited)

(Amounts in PHP)	Loans and Borrowings* (see Notes 15 and 16)	Dividends Payable (see Note 16)	Total
December 31, 2024			
Balance at beginning of year	699,722,255	49,413,895	749,136,150
Cash flows from financing activities:			
Additional loans	20,447,990	-	20,447,990
Repayment of loans	(2,784,319)	-	(2,784,319)
Payment of dividends	-	(35,005,288)	(35,005,288)
Non-cash financing activities:			
Accrual of interest expense	20,622,856	-	20,622,856
Dividend declaration	-	43,736,492	43,736,492
Balance at end of year	<u>738,008,782</u>	<u>58,145,099</u>	<u>796,153,881</u>

(Amounts in PHP)	Loans and Borrowings* (see Notes 15 and 16)	Dividends Payable (see Note 16)	Total
December 31, 2023			
Balance at beginning of year	878,463,203	54,431,712	932,894,915
Cash flows from financing activities:			
Repayment of loans	(204,071,382)	-	(204,071,382)
Payment of dividends	-	(48,748,001)	(48,748,001)
Non-cash financing activities:			
Accrual of interest expense	25,330,434	-	25,330,434
Dividend declaration	-	43,730,184	43,730,184
Balance at end of year	<u>699,722,255</u>	<u>49,413,895</u>	<u>749,136,150</u>

* Includes accrued interest payable amounting to P1.2 million for 2024 and 2023 presented as part of Accrued expenses under the Trade and Other Payables account in the consolidated statements of financial position (see Note 16).

28.2 Supplemental Information on Non-cash Activities

The following discusses the supplemental information on non-cash investing and financing activities as presented in the consolidated statement of cash flows for the years ended December 31, 2024, 2023 and 2022:

- The Parent Company's BOD approved the declaration of cash dividends amounting to P43.7 million in 2024, 2023 and 2022. Total unpaid dividends as of December 31, 2024 and 2023 amounted to P58.1 million and P49.4 million, respectively (see Notes 16 and 18).
- In 2024, the Parent Company received a parcel of land in Cavite as a result of the dacion en pago arrangement with Sta. Lucia as settlement of 2023 outstanding receivables amounting to P2.0 million (see Note 13.1).
- In 2024, the Group recognized investment properties amounting to P229.5 million which is composed of accumulated deposit for purchase of properties initially recognized as part of Other Non-current Assets amounting to P161.3 million in the 2023 consolidated statement of financial position (see Note 14.2). The remaining balance of P68.2 million was recorded as part of Accounts payable under Trade and Other Payables in the consolidated statement of financial position (see Note 16).
- In 2024, the Group reclassified certain condominium units from Property Held for Sale or Development to Investment Properties amounting to P65.4 million (see Notes 13 and 12).
- In 2024, the Company entered into a lease agreement as a lessee with a third party, for an office space for a period of five years. The Company recognized right-of-use asset and lease liability amounting to P4.7 million (see Note 11). There was no similar transaction in 2023.
- In 2023, the carrying amount of a parcel of land in Makati amounting to P4.0 million was reclassified by the Parent Company from Property and Equipment to Investment Properties (see Notes 10 and 12).

ANNEX B

MANAGEMENT'S DISCUSSION and ANALYSIS of FINANCIAL CONDITION and RESULTS of OPERATIONS

IMPORTANT INFORMATION ON THE PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The Parent Company has ownership interests in the following entities as of September 30, 2025 and December 31, 2024:

Name of Subsidiaries	Effective % of Ownership	
	2025	2024
Philippine Newtown Ventures Corporation (PNVC)	100.00%	100.00%
Philippine Newtown Global Solutions, Inc. (PNGSI)**	70.00%	70.00%
PRCI Circuit Makati, Inc. (Circuit Makati)	100.00%	100.00%
PRCI Circuit Makati F&B, Inc. (PCM F&B)**	70.00%	70.00%
Fulcrum Computer Services, Inc. (Fulcrum)	75.00%	75.00%
Santa Ana Park Racing Club, Inc.	100.00%	100.00%
One Renewable Energy Enterprise, Inc. (OREE)** (##)	49.99%	49.99%

*** Indirect ownership interest*

It is considered as an associate of Circuit Makati, thus, the accounts of this indirect subsidiary is not consolidated into the Group's accounts.

RESULTS OF OPERATIONS

Discussion on the Results of Operations

With the expiry of the horseracing franchise in October 2022, the parent company has concentrated its operation on the real estate businesses starting in 2023. The Group has started selling its inventory of condominium and parking units in the latest residential condominium project inside Circuit Makati, the Astela in 2023. In 2025, sales of six (6) condominium units qualified for revenue recognition during the period. For same period in 2024, there was one (1) condominium unit and four (4) parking units that qualified for revenue recognition. As of September 30, 2025 and 2024, the completion rate for this project is at 38.75% and 21.50%, respectively.

For the first nine months of 2025, total revenues amounted to P105.7 million versus P55.6 million for 2024, an increase of P50.1 million. Operating expenses for 2025 amounted to P125.5 million compared with P139.0 million for 2024, a decrease of P13.5 million. The Group generated a net income from continuing operations of P298.6 million for 2025 compared with a net loss of P34.9 million for 2024.

Details of operating expenses are shown under note 20 of the consolidated financial statements.

For purposes of determining the "materiality" of individual revenue and expense items, we selected all major accounts which registered changes amounting to more than P20.0 million and ten percent (10%). We explain below the reasons behind such changes.

Revenues

Real Estate Sales [P44.50 million in 2025 vs P8.36 million in 2024 = P36.15 million or 433% increase]: This account normally represents the sale of office condominium and parking units inside the Circuit Makati development of Ayala Group. The increase is due to the P35.2 million increase from the Astela project and P0.9 million increase from Stiles. As of September 30, 2025, the completion rate for Astela is at 38.75% compared to 21.50% as of end of September 30, 2024. The increase in Stiles is due to the realized sale of 2 units of parking at Stiles East.

Other Income - net [P462.87 million in 2025 vs P78.02 million in 2024 = P384.85 million or 493% increase]: The increase is mainly due to the increase in Other Income - Unrealized FV Gains on Investment Properties of P373.90 million (342% increase):

- During the 9-month period ending September 2025, the following properties in Circuit Makati were reclassified from Property Held for Sale or Development account to Investment property account.
 - ✓ 501 sqm piece of property leased to E-Sakay – fair value of such property (P90.2 million) at the time of reclassification exceeded its book value (P1.03 million) by about P89.2 million; and
 - ✓ 2,214 sqm piece of property leased to Prosmash – fair value of such property (P398.5 million) at the time of reclassification exceeded its book value (P4.5 million) by about P393.9 million.Total excess fair value over book values is about P483.1 million. This is recognized as part of Other Income in 2025.
- The biggest revenue for January to September 2024 came from the fair value gains from the reclassification of the following properties from Property Held for Sale or Development account to Investment Property account:
 - ✓ four (4) office units of Stiles East Tower project; the fair value of such units (P108.1 million) at the time of reclassification exceeded its book value (P25.3 million);
 - ✓ one (1) office unit of Stiles West Tower project; the fair value of such units (P18.16 million) at the time of reclassification exceeded its book value (P4.55 million); and
 - ✓ one (1) unit of Azuela Cove Davao condominium project; the fair value of such units (P51.54 million) at the time of reclassification exceeded its book value (P38.66 million).

There were no other major revenue items registering significant fluctuations for the period under review.

Expenses

Provision for Income Tax [P124.50 million in 2025 vs P10.49 million in 2024 = P114.0 million or 1,086% increase]: The increase in this account is due to:

- (1) Actual collections of P202 million during this period, which has resulted in current income tax due of P30.8 million and;
- (2) The increase in Other Income - Unrealized FV Gains on Investment Properties, which has resulted in deferred income tax due of P93.7 million.

There were no major expense items registering significant fluctuations for the period under review.

CHANGES IN FINANCIAL CONDITION

Discussion on the Significant Changes in Financial Condition

The discussions in the succeeding paragraphs center on the significant changes in account balances during the 1st nine months of 2025 (unaudited) compared with end of year 2024 (audited), with brief discussions on expectations for the succeeding period. For purposes of determining the “materiality” of changes in account balances, we selected all accounts which registered changes amounting to more than P45.0 million and five percent (5%). We explain below the reasons behind such changes.

Assets

Net Receivables [P230.47 million in 2025 vs P348.73 million in 2024 = P118.3 million or 34% decrease]: The decrease in this account is due to the final collection from Ayala attributed to the sliver lot.

Financial Assets at FVOCI [P1.14 billion in 2025 vs P1.31 billion in 2024 = P168.8 million or 13% decrease]: The decrease is due solely to the recognition of net fair value loss on equity investments considered as held to maturity at the end of 1st nine months of 2025. Substantial portion of this decrease came from the P0.50 per share unrealized loss in market value of 388,550,000 Sta. Lucia Land, Inc. (SLI) shares in 2025. The quoted market price of SLI shares as of September 30, 2025 was P2.40 vs December 31, 2024 (2.90).

Investment Property [P3.33 billion in 2025 vs P2.84 billion in 2024 = P488.7 million or 17% increase]: The increase is due solely to the addition via reclassification to Investment Property account of 501 sqm piece of property in Circuit Makati being leased to E-Sakay entity and 2,214 sqm piece of property in Circuit Makati being leased to Prosmash; all assets previously recorded under Property Held for Sale or Development. The business purpose of these units has changed from units for sale to units for lease necessitating the reclassification. The fair value of these units at the time of transfer is P488.7 million and this exceeded the combined costs of said properties by P483.1 million. The excess fair value gains is recognized as part of Other Income – net in the consolidated statement of comprehensive income for 2025.

The balance of this account is not expected to have significant change in the final quarter of the year.

Liabilities and Equity

Trade and Other Payables [P585.91 million in 2025 vs P645.18 million in 2024 = P59.3 million or 9% decrease]: The decrease is due to the following:

- payment for Nuvali property for January to September 2025 amounting to P22 million
- release of management bonus amounting to P22 million
- VAT payment to the BIR amounting to P6.0 million
- cash dividend amount claimed of P4.5 million

- payment to Makati LGU for the retirement of business permits amounting to P2.5 million
- payment for improvements at PSE Tower unit amounting to P2.0 million

Net Deferred Tax Liabilities [P531.31 million in 2025 vs P437.61 million in 2024 = P93.7 million or 21% increase]: The increase is due to the increase in Other Income - Unrealized FV Gains on Investment Properties, which has resulted in deferred income tax due of P93.7 million.

Revaluation Reserves [P700.30 million in 2025 vs P867.57 million in 2024 = P167.3 million or 19% decrease]: The decrease is due solely to the recognition of net fair value loss on equity investments recorded under Financial Assets at FVOCI at the end of 1st nine months of 2025; substantial portion of this decrease came from the P0.50 per share reduction in market value of 388,550,000 SLI shares under Financial Assets at FVOCI.

Retained Earnings [P5.00 billion in 2025 vs P4.71 billion in 2024 = P298.6 million or 6% increase]: This is the net income figure for the 9-month period ending September 30, 2025. See related discussion under the section Discussion on the Results of Operations for more details.

There were no other major assets, liabilities and equity items registering significant fluctuations for the period under review.

OTHER DISCUSSIONS AFFECTING FINANCIAL CONDITION AND RESULTS OF OPERATION

Land Property Development

Property Development

In 2011, the Company entered into a joint development agreement with ALI and Alveo Land Corporation for the development of the Santa Ana Park, Makati City property, as Circuit Makati. Pursuant to this agreement, PRCI recognized revenues from sale of parcels of land from Circuit Makati as follows:

- 1,181 sqm, sold in 2023 for P310 million,
- 555 sqm, sold in 2022 for P139 million,
- Around 0.457 hectare, sold for about P1.16 billion in 2018.
- around 0.492 hectare, sold for about P920 million in 2015,
- around 1.2 hectares, sold for about P773.4 million in 2014; and
- around 2.96 hectares, sold for about P2.31 billion in 2013; and
- none in years 2016, 2017 and 2019 to 2021.

As of September 30, 2025, the remaining land owned by the Company inside Circuit Makati is 145,549 sqm. *(For additional details on the Makati City property development, see Note 14 to the audited financial statements).*

In 2017 and 2016 (*none in years 2018 to 2023*), certain parcels of land inside the Circuit Makati project were reclassified from property held for sale or development to investment property because of the change in the use of such properties. The item reclassified to investment property in 2017 pertains to a parcel of land where a condominium project for lease, Circuit Flats, is constructed.

The Neopolitan, Quezon City property investment refers to eight (8) parcels of land totalling 1.4 hectares acquired in 2011. Original acquisition cost for these parcels of land from Sta. Lucia Land, Inc. is P271.5 million. In 2016, the Company sold two parcels of land and in April 2018, another two (2) parcels of land were sold.

As to the joint venture project (*residential and commercial subdivision*) near the Cavite racetrack, the depressed real estate market in the area continues to hound this project, thus, sales is not expected to pick-up in the next two to three years (*see Note 14 to the audited financial statements*). However, we are hoping that the proposed interlink bridge connecting Naic, Cavite and Mariveles, Bataan will push through because such huge infrastructure project will surely have a very positive impact on the businesses in Naic, Cavite (and in the Bataan side. This will surely benefit the real estate development activities in Naic, Cavite and Bataan area.

Dividend Declaration

On September 15, 2025, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, October 27, 2025, payable on November 21, 2025.

On October 16, 2024, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P44.21 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, October 30, 2024, payable on November 21, 2024.

On March 9, 2023, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, May 5, 2023, payable on May 31, 2023.

On January 28, 2022, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, May 6, 2022, payable on May 31, 2022.

On April 14, 2021, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, May 5, 2021, payable on May 31, 2021.

On February 12, 2020, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, May 6, 2020, payable on May 29, 2020.

On June 7, 2019, the Board of Directors declared cash dividends equivalent to P0.05 per share or about P27.34 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, October 28, 2019, payable on November 21, 2019.

On January 29, 2019, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, March 19, 2019, payable on April 12, 2019.

On January 25, 2018, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, March 26, 2017, payable on April 18, 2017.

On January 12, 2017, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, March 13, 2017, payable on April 5, 2017.

On January 8, 2016, the Board of Directors declared cash dividends equivalent to P0.08 per share or about P43.74 million out of its unrestricted retained earnings to all stockholders of record as of end of trading day, March 11, 2016, payable on April 8, 2016. Outstanding dividends payable as of December 31, 2016 amounted to P11.51 million and is recorded as part of Trade and Other Payables account in the statement of financial position.

TOP FIVE (5) KEY PERFORMANCE INDICATORS

The top five (5) key performance indicators of the Group for the periods January to September of 2025 and 2024 are as follows:

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
1. Current Ratio	<u>2.80</u>	<u>2.92</u>
The current ratio is used to evaluate the liquidity, or ability to meet short term debts or those due within one year. It is a test of the Company's financial strength. It calculates how many pesos in assets are likely to be converted to cash within one year in order to pay debts that come due during the same year. It can be calculated by dividing current assets by current liabilities. Total current assets as of September 30, 2025 and 2024 amounted to P3.25 billion and P3.28 billion, respectively. On the other hand, as of September 30, 2025 and 2024, total current liabilities amounted to P1.16 billion and P1.12 billion, respectively. The Group's current ratio for 2025 shows that it has P2.80 current assets to cover every P1.00 of current liabilities.		
	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
2. Debt-to-Equity Ratio	<u>0.38</u>	<u>0.38</u>
The debt-to-equity ratio measures how much money the Company should safely be able to borrow over long periods of time. It is used to gauge the company's capability to pay back its obligations. It expresses the relationship between capital contributed by creditors and the contributed by equity holders. It also expresses the degree of protection provided by the owners to the creditors. The higher the ratio, the greater the risk assumed by creditors. Conversely, a low ratio indicates a more stable financial position with possible collateral opportunities for outside financing. It can be calculated by dividing total liabilities by stockholders' equity. Total liabilities as of September 30, 2025 and 2024 amounted to P2.16 billion and P2.08 billion, respectively. On the other hand, as of September 30, 2025 and 2024, stockholders' equity amounted to P5.48 billion and P5.64 billion, respectively. The Group's debt-to-equity ratio for 2025 shows that for every P1.00 equity provided by the owners, the capital contributed by creditors is only P0.38.		

Jan to Sep 2025 Jan to Sep 2024

3. Debt-to-Asset Ratio **0.28** **0.28**

Debt-to-asset ratio is a leverage ratio that defines how much debt a company owns compared to its assets. This information can reflect how financially stable a company is. The higher the ratio, the higher the degree of leverage and, consequently, the higher the risk of investing in that company. It indicates how much debt is used to carry a firm's assets, and how those assets might be used to service debt. It, therefore, measures a firm's degree of leverage.

The debt-to-asset ratio formula is calculated by dividing a company's total liabilities by its total assets.

Total liabilities as of September 30, 2025 and 2024 amounted to P2.16 billion and P2.08 billion, respectively. On the other hand, as of September 30, 2025 and 2024, total assets amounted to P7.80 billion and P7.56 billion, respectively. The Group's debt-to-asset ratio for 2024 shows that for every P1.00 asset of the Group, the capital contributed by creditors is only P0.28.

Jan to Sep 2025 Jan to Sep 2024

4. Book Value per Share **P11.11** **P10.79**

Book value per common share (or, simply book value per share - BVPS) is a method to calculate the per-share book value of a company based on common shareholders' equity in the company. The book value of a company is the difference between that company's total assets and total liabilities, or simply equivalent to total common stockholders' equity. Should the company dissolve, the book value per common share indicates the peso value remaining for common shareholders after all assets are liquidated and all creditors are paid.

The BVPS is calculated by dividing the total stockholders' equity by the weighted average number of shares issued and outstanding during the period – equivalent to 507,663,556 shares.

The total stockholders' equity as of September 30, 2025 and 2024 amounted to P5.64 billion and P5.48 billion, respectively. On the other hand, the weighted average number of shares issued and outstanding for the first nine months of 2025 and 2024 is equivalent to 507,663,556 shares. The Group's BVPS in 2025 is up by P0.32 from the BVPS in 2024.

Jan to Sep 2025 Jan to Sep 2024

5. Earnings (Loss) per Share **P0.5882** **(P0.0687)**

Earnings per share or EPS indicate the relative profitability of the Group in the eyes of present and potential investors and stockholders.

EPS is determined by dividing net income for the period by the weighted average number of shares issued and outstanding during the period – equivalent to 507,663,556 shares.

The net income for the first nine months ended September 30, 2025 amounted to P298.59 million versus a net loss of P34.86 million in 2024. On the other hand, the weighted average number of shares issued and outstanding for the first nine months of 2025 and 2024 is equivalent to 507,663,556 shares. The Group's EPS in 2025 is higher than that in 2024.

MATERIAL EVENTS and UNCERTAINTIES THAT WOULD IMPACT FUTURE OPERATIONS

The COVID-19 pandemic adversely affecting the whole world starting at the early part of 2020 has wrought havoc on the local businesses. Racing and construction activities were suspended from the middle of March until around September 2020 and the impact continued in 2021. In 2022, the real estate and rental businesses showed slight improvements from the previous year but the horseracing business continued to be down until the expiry of the current franchise in October 2022. Covid-19 restrictions were practically removed starting 2023, paving the way for a continuing improvement in the real estate activities and business resulting in a better bottomline for the year. See related discussion below under "Discussion of Impact of Covid19".

The following statements relative to the material event/s and uncertainties known to management that would address the past and would have an impact on future operations are presented for information of all stakeholders of the Corporation:

- There were no known, trends, demands, commitments, events or uncertainties that would have a material impact on PRCI's liquidity during the reporting period.
- There were no events that would trigger direct or contingent financial obligation that is material to PRCI, including any default or acceleration of an obligation, during the period.
- There were no material off-balance sheet transactions, arrangements, obligations (*including contingent obligations*), and other relationships of PRCI with unconsolidated entities or other persons created during the reporting period.
- There were no material commitments for capital expenditures during the reporting period.
- There were no known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues/income from continuing operations that may materially affect the financial report of PRCI (*see also related Discussion on the Results of Operations*).
- All material items of income and expense during the reporting period arose from normal continuing operations.
- The causes of material changes in the financial statements from period to period are discussed in the early part of this report.

DISCUSSION of the IMPACT of COVID-19

In December 2019, a novel strain of corona virus (Covid19) was reported to have surfaced in China. The World Health Organization declared the outbreak as a 'public health emergency of international concern'. COVID-19 started to become widespread in the Philippines in early March 2020 causing the government to declare the country in a state of public health emergency followed by implementation of enhanced quarantine and social distancing measures and restrictions within the Luzon area with other cities and provinces in the country enacting similar measures thereafter. This resulted in a wide-ranging business suspension - disrupting the supply chains, affecting production and sales across a range of industries, and weakening the stock market.

The measures taken by the government to contain the virus in 2020 and until mid-2022 had affected economic conditions and the Group's business operations, especially on the real estate sales, which is the Group's main source of revenues.

The following were the impact of the Covid19 pandemic to the Group's businesses:

- Delays on the completion of ongoing real estate projects due to temporary stoppage of construction and slowdown in supply chain;
- Provided rent concessions to tenants;
- Temporary suspension of horseracing activities in compliance with the guidelines issued by the government that reduced the number of racing days in 2020 to 2022 and closure of certain OTBs which resulted in continuous significant decline in the Company's club racing revenues by P5.7 million or 32.4 % in 2022, P7.8 million or 30.7% in 2021 and P94.3 million or 78.7% in 2020; and
- Additional administrative expenses were incurred to ensure health and safety of its employees and customers such as frequent disinfection of facilities and Covid19 testing for its employees.

In response to this matter, the Company had taken the following actions:

- Streamlined existing procedures and processes in club racing operations to come up with the right-sizing of the employee workforce;
- Shifted to user-friendly mobile OTB system starting October 2020 to enable bettors to easily create accounts, monitor their bets and pay bets through large financial network such as banks, mobile banking services and other payment mechanisms;
- Implemented cost-saving measures such as the non-release of management bonuses during the years affected by the pandemic, continuous institution of work from home arrangements for office staff, continuous implementation of rotational duties for non-essential workforce and continuous reduction in operating hours of the racetrack and related facilities for training of horses to save on utilities and maintenance costs; and
- Implemented a voluntary retrenchment program in early part of 2021 and in October 2022, a full pledged retrenchment program affecting all employees assigned to the horseracing business.

Based on the above actions and measures taken by the management to mitigate the adverse effects of the pandemic, the Group continued to report positive results of operations and remained liquid to meet current obligations as it became due during the periods affected by the pandemic (years 2020 to 2022). With Covid-19 restrictions being practically removed starting 2023, the Group has registered a continuing improvement in the real estate activities and business resulting in a better bottomline for the year. Accordingly, management has not determined material uncertainty that may cast significant doubt on the Group's ability to continue as a going concern.

OTHER INFORMATION REQUIRED BY THE SECURITIES AND EXCHANGE COMMISSION

Republic Act No. 11232, *An Act Providing for the Revised Corporation Code of the Philippines* (the Revised Corporation Code) took effect on March 8, 2019. The new provisions of the Revised Corporation Code or any amendments thereof have no significant impact to the Group's financial statements.

OTHER APPLICABLE FINANCIAL SOUNDNESS INDICATORS *[Based on unaudited figures]*

Shown below are the important financial soundness indicators of the Group for the 1st nine months of 2025 and 2024:

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
1. Asset to Equity Ratio	<u>1.38</u>	<u>1.38</u>
The <u>asset to equity</u> ratio shows the relationship of the total assets of the Company to the portion owned by shareholders. The <u>asset</u> to equity ratio indicates the Company's leverage, the amount of <u>debt</u> used to finance the Company. A relatively high asset/equity ratio may indicate the company has taken on substantial debt merely to remain in business. By the same token, a low asset/equity ratio can indicate a strong firm that needs no debt.		
It can be calculated by dividing total assets by stockholders' equity.		
	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
2. Interest Rate Coverage Ratio	<u>22.15x</u>	<u>(0.28x)</u>
The interest coverage ratio indicates the extent of which earnings are available to meet interest payments. The interest coverage ratio measures the ability to meet annual interest payments. A high interest coverage ratio may indicate that the firm has the capacity to increase debt. A lower interest coverage ratio means less earnings are available to meet interest payments and that the business is more vulnerable to increases in interest rates.		
It can be calculated by dividing income (loss) before interest and taxes by fixed interest charges.		
	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
3. Return on Assets	<u>3.87%</u>	<u>(0.46%)</u>

The return on assets ratio (ROA) is considered an overall measure of profitability. It measures how much net income was generated for each P1.00 of assets the Company has.

It can be calculated by dividing net income (loss) by average total assets, then expressed in percentage.

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
4. Return on Equity	<u>(5.36%)</u>	<u>(0.62%)</u>

The return on common stockholders' equity (ROE) measures how much net income was earned relative to each peso of common stockholders' equity.

It is calculated by dividing net income (loss) by average common stockholders' equity, then expressed in percentage.

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
5. Gross Profit Margin	<u>78.78%</u>	<u>80.12%</u>

Gross profit margin is a metric analysts use to assess a company's financial health by calculating the amount of money left over from product sales after subtracting the cost of goods sold (COGS). Sometimes referred to as the gross margin ratio, gross profit margin is frequently expressed as a percentage of sales. It tells investors how much gross profit every Peso of revenue a company is earning.

The gross profit margin is calculated by subtracting direct expenses or cost of goods sold (COGS) from net sales (gross revenues minus returns, allowances and discounts). That number or gross profit is divided by net revenues, then expressed in percentage.

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
6. Net Profit Margin	<u>2.82%</u>	<u>(62.68%)</u>

Net profit margin is the percentage of revenue left after all expenses have been deducted from sales. The measurement reveals the amount of profit that a business can extract from its total sales.

It is calculated by dividing net income (loss) by gross revenue, then expressed in percentage.

	<u>Jan to Sep 2025</u>	<u>Jan to Sep 2024</u>
7. Price / Earnings Ratio	<u>9.35</u>	<u>(76.45)</u>

The price-earnings (P/E) ratio indicates the Peso amount an investor can expect to invest in a company in order to receive one Peso of that company's earnings. This is why the P/E is sometimes referred to as the price multiple because it shows how much investors are willing to pay per Peso of earnings.

It is calculated by dividing price per share by the earnings per common share.

ANNEX C

PHILIPPINE RACING CLUB, INC. AGING OF RECEIVABLES AS OF SEPTEMBER 30, 2025

A. AGING OF ACCOUNTS RECEIVABLE

TYPE OF RECEIVABLES	TOTAL	CURRENT	1 MONTH	2-3 MONTHS	4-6 MONTHS	7 MONTHS OVER
1) Executive Car Plan/Loan	-	-				
2) Advances to Employees	99,137	99,137				
3) SSS Maternity, Sickness Benefits	9,928	9,928	-			
4) Leased Properties	216,476,431	216,476,431				
5) Real Estate Sales Receivable	23,702,869	23,702,869				
6) Other Receivables	9,884,107	9,884,107	-	-	-	-
TOTAL	250,172,472	250,172,472	-	-	-	-
Allowance for Doubtful Accounts	(19,699,275)					
NET RECEIVABLE	230,473,196					

B. DESCRIPTION of ACCOUNTS

TYPE OF RECEIVABLES	NATURE/DESCRIPTION	COLLECTION PERIOD
1) Executive Car Plan/Loan	Part of benefits given to managers and senior officers	Monthly
2) Advances to Employees	Loan facilities given to all employees	Monthly
3) SSS Maternity, Sickness Benefits	Social benefits of all employees as provided by the labor Code	Monthly
4) Leased Properties	Leased areas, e.g., stables, aircon boxes, & concessions	Monthly
5) Real Estate Sales Receivable	Receivables mainly from development of Makati property	Monthly/Quarterly
6) Other Receivables	Various other receivables	Monthly

C. NORMAL OPERATING CYCLE:

Calendar Year

OTHER INFORMATION

List of disclosures under SEC Form 17-C made during the reporting period:

DATE	SUBJECT
1. Jan 12, 2025:	Submission of a certification from the Corporate Secretary as a supporting document to the List of Top 100 Stockholders as of December 31, 2024; the disclosure was done through PSE Disclosure Form 4-32 – Reply to Exchange’s Query;
2. Mar 31, 2025:	Announcement of annual stockholders’ meeting (ASM) as approved by the Board of Directors on March 31, 2025; ASM on June 16, 2025 at 10:00am to be held at Saddle & Clubs Leisure Park, Sabang, Naic, Cavite; with record date of May 16, 2025; also disclosed was the agenda of the ASM; the disclosure was done through PSE Disclosure Form 7-1 – Notice of Annual or Special Stockholders’ Meeting;
3. Apr 10, 2025:	Submission of a certification from the Corporate Secretary as a supporting document to the List of Top 100 Stockholders as of March 31, 2025; the disclosure was done through PSE Disclosure Form 4-32 – Reply to Exchange’s Query;
4. Jun 16, 2025:	Report on the results of the annual stockholders’ meeting (ASM) held on June 16, 2025 at 10:00am at Saddle & Clubs Leisure Park, Sabang, Naic, Cavite; included in the report are the election of new members of the Board, appointment of external auditors, approval of the minutes of the previous ASM, and approval and ratification of the acts of the Board and its constituted committees and of the management for fiscal year 2024 and the audited financial statements for the year ended December 31, 2024; the disclosure was made through PSE Disclosure Form 4-24 – Results of Annual or Special Stockholders’ Meeting;
5. Jun 16, 2025:	Report on the results of the organizational meeting of the Board of Directors held on June 16, 2025 after the annual stockholders meeting; the disclosure includes the new sets of officers, including the composition of various committees; the disclosure was made through PSE Disclosure Form 4-25 – Results of Organizational Meeting;

6. Jul 14, 2025: Submission of a certification from the Corporate Secretary as a supporting document to the List of Top 100 Stockholders as of June 30, 2025; the disclosure was done through PSE Disclosure Form 4-32 – Reply to Exchange’s Query;

Submitted Subsequent to September 30, 2025 but before Filing of this 3rd Quarter 2025 Report with the SEC and the PSE

7. Oct 13, 2025: Submission of a certification from the Corporate Secretary as a supporting document to the List of Top 100 Stockholders as of September 30, 2025; the disclosure was done through PSE Disclosure Form 4-32 – Reply to Exchange’s Query;

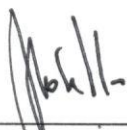
No other disclosures under SEC Form 17-C were submitted and filed with the SEC and the PSE during the first half of 2025.

SIGNATURES

Pursuant to the requirements of Section 17 of the Securities Regulation Code and Section 177 of the Revised Corporation Code of the Philippines [*formerly Section 141 of the old Corporation Code*], the Issuer has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Issuer: **PHILIPPINE RACING CLUB, INC.**

PRINCIPAL FINANCIAL / ACCOUNTING OFFICER / CONTROLLER



ALLAN M. ROBELLES
Senior Accountant

Nov. 11, 2025

Date



SHERYL LIZETTE C. YAP
Treasurer &
Chief Finance Officer

Nov. 12, 2025

Date